

## Finance Committee Agenda

**Date:** Thursday, 28 August, 2025

**Time:** 1:30 pm

**Location:** Civic Centre, Te Iwitahi, 9 Rust Avenue

**Elected Members:** Cr Paul Yovich (Chairperson)  
Cr Phil Halse (Deputy Chairperson)  
His Worship the Mayor Vince Cocurullo  
Cr Ken Couper  
Cr Deborah Harding  
Cr Patrick Holmes  
Cr Simon Reid

For any queries regarding this meeting please contact the Whangarei District Council on (09) 430-4200.

|                                                                                           |    |
|-------------------------------------------------------------------------------------------|----|
| <b>1. Declarations of Interest / Take Whaipānga</b>                                       |    |
| <b>2. Apologies / Kore Tae Mai</b>                                                        |    |
| <b>3. Confirmation of Minutes of Previous Finance Committee Meeting / Whakatau Meneti</b> |    |
| 3.1 Minutes Finance Committee meeting held on 24 July 2025                                | 7  |
| <b>4. Information Reports / Ngā Pūrongo Kōrero</b>                                        |    |
| 4.1 Financial Report for the month ending 31 July 2025                                    | 11 |
| 4.2 Capital Projects Report for the 12 Months ending 30 June 2025                         | 15 |
| 4.3 2025-26 Capital Projects Revised Budget                                               | 31 |
| 4.4 Operations Report - Corporate Group - August 2025                                     | 39 |
| <b>5. Decision Reports / Whakatau Rīpoata</b>                                             |    |
| <b>6. Public Excluded Business / Rāhui Tangata</b>                                        |    |
| 6.1 Commercial Property Update July 2025                                                  |    |
| <b>7. Closure of Meeting / Te katinga o te Hui</b>                                        |    |

## ***Finance Committee – Terms of Reference***

### **Membership**

|                           |                                                                                                                    |
|---------------------------|--------------------------------------------------------------------------------------------------------------------|
| <b>Chairperson</b>        | Councillor Paul Yovich                                                                                             |
| <b>Deputy Chairperson</b> | Councillor Phil Halse                                                                                              |
| <b>Members</b>            | His Worship the Mayor Vince Cocurullo<br>Councillors Ken Couper, Deborah Harding, Patrick Holmes and<br>Simon Reid |
| <b>Meetings</b>           | Monthly                                                                                                            |
| <b>Quorum</b>             | 4                                                                                                                  |

### **Purpose**

To ensure than Council finances and other corporate support functions are well managed. Management of disposal and purchase of individual properties within Council's commercial property portfolio.

### **Key responsibilities**

- Manage the budget process including the co-ordination and preparation of budgets and financial statements for the Annual Plan and Long-Term Plan.
- Preparation of the financial component of Council's Annual Report.
- Operational reporting for the Corporate Group within Council.
- Operational accountability of performance including:
  - Health and Safety
  - Regular reporting on service delivery
  - Compliance
  - Sustainability
  - Finance
- Procurement – general procurement relating to the areas of business of this committee, within delegations.
- Shared Services – investigate opportunities for shared services for recommendation to council.

- Council's commercial property portfolio, including:
  - The purchase and disposal of commercial properties specifically identified in the Long Term Plan
  - The purchase and disposal of commercial properties as authorised by Council, where these are not specifically identified in the Long Term Plan.
  - Recommendations to Council for the purchase and disposal of any other commercial properties.
- Council Controlled Organisations (CCOs) – monitoring the financial and non-financial performance of CCOs whose functions would otherwise fall under the scope of this committee. Includes trading CCOs (CCTOs) and those CCOs exempted under the LGA. Responsibilities include:
  - advising on the content of annual Statement of Expectations to CCOs
  - monitoring against the Statement of Intent
  - for exempted CCOs, monitoring and reporting as agreed between Council and the organisation
  - quarterly reporting on performance

**CCO accountable to this committee:**

- Local Government Funding Agency (LGFA)  
*\*Statement of Intent agreement to council*

**Delegations**

- (i) All powers necessary to perform the committee's responsibilities, including:
  - (a) Approval of expenditure of less than \$5 million plus GST.
  - (b) Purchase and disposal of commercial properties as identified above and within the budget limits identified in the Long Term Plan.
  - (c) Establishment of working parties or steering groups.

**The Committee does not have:**

- I. The power to establish sub-committees.
- II. The powers Council is expressly prohibited from delegating as outlined in Clause 32(1)(a)-(h) of Schedule 7 of the Local Government Act 2002; being:
  - the power to make a rate
  - the power to make a bylaw
  - the power to borrow money, or purchase or dispose of assets, other than in accordance with the long-term plan

- the power to adopt a long-term plan, annual plan or annual report
- the power to appoint a chief executive the power to adopt policies required to be adopted and consulted on under the Local Government 2002 in association with the long-term plan or developed for the purpose of the local governance statement
- the power to adopt a remuneration and employment policy.



## Finance Committee Meeting Minutes

**Date:** Thursday, 24 July, 2025  
**Time:** 1:30 p.m.  
**Location:** Civic Centre, Te Iwitahi, 9 Rust Avenue

**In Attendance**  
 Cr Paul Yovich (Chairperson)  
 His Worship the Mayor Vince Cocurullo  
 Cr Ken Couper  
 Cr Patrick Holmes  
 Cr Simon Reid

**Not in Attendance**  
 Cr Phil Halse (Deputy Chairperson)  
 Cr Deborah Harding

**Also in Attendance**  
 Cr Gavin Benney

**Scribe**  
 D.Garner (Democracy Adviser)

### 1. **Declarations of Interest / Take Whaipānga**

No interests were declared.

### 2. **Apologies / Kore Tae Mai**

Cr's Phil Halse and Deborah Harding

**Moved By** Cr Paul Yovich

**Seconded By** His Worship the Mayor

That the apologies be sustained

**Carried**

### 3. **Confirmation of Minutes of Previous Finance Committee Meeting / Whakatau Meneti**

#### 3.1 **Minutes Finance Committee meeting held on 26 June 2025**

**Moved By** Cr Paul Yovich

**Seconded By** His Worship the Mayor

That the minutes of the Finance Committee meeting held Thursday 26 June 2025, having been circulated be taken as read and now confirmed and adopted as a true and correct record of proceedings of that meeting.

**Carried****4. Information Reports / Ngā Pūrongo Kōrero****4.1 Local Government Funding Agency - Statement of Intent 2025-28****Moved By** Cr Paul Yovich**Seconded By** Cr Simon Reid

That the Finance Committee agrees to the Local Government Funding Agency 2025-28 Statement of Intent.

**Carried****4.2 Credit Rating Update****Moved By** His Worship the Mayor**Seconded By** Cr Patrick Holmes

That the Finance Committee receives the 2025 S&P Global Ratings credit rating report and notes that Whangarei District Council's credit rating is reaffirmed at AA with a Stable outlook.

**Carried****4.3 Financial Report for the 12 months ending 30 June 2025****Moved By** Cr Paul Yovich**Seconded By** His Worship the Mayor

That the Committee notes the Treasury report for the twelve months ending 30 June 2025.

**Carried****4.4 Operations Report - Corporate Group - July 2025****Moved By** Cr Paul Yovich**Seconded By** Cr Simon Reid

That the Finance Committee notes the Corporate Group operations report for July 2025 which contains statistics up to 30 June 2025.

**Carried****5. Public Excluded Business / Rāhui Tangata**

No business was held in public excluded.

**6. Closure of Meeting / Te katinga o te Hui**

The meeting concluded at 2:03pm.

Confirmed this 28<sup>th</sup> day of August 2025



Cr Paul Yovich (Chairperson)



## 4.1 Financial Report for the month ending 31 July 2025

**Meeting:** Finance Committee  
**Date of meeting:** 28 August 2025  
**Reporting officer:** Alan Adcock (General Manager – Corporate CFO)

### 1 Purpose / Te Kaupapa

To provide the treasury report for the month ending 31 July 2025.

### 2 Recommendation / Whakataunga

That the Finance Committee notes the Treasury Report for the month ending 31 July 2025.

### 3 Background / Horopaki

As per previous years at this point in the reporting cycle, the full monthly financial report for the period ending 31 July 2025 was not prepared due to the following tasks currently in progress:

- finalising the 2024-25 results which impact on the opening balances for the 2025-26 year
- final confirmation of 2024-25 capital projects and associated carry forwards into 2025-26
- finalising the revised budget to incorporate final carry forwards and associated operational expenses and subsidies
- phasing of the 2025-26 revised budget.

A monthly financial report will be prepared for the next Finance Committee meeting for the two months ended 31 August 2025 (actuals against phased budget). Budget managers will complete a full year forecast in September.

#### External Net Debt and Treasury

Total external net debt at the end of July 2025 was \$265.9 million compared to year-to-date budgeted net debt of \$267.5 million, resulting in net debt being \$1.6 million under budget.

As at 31 July 2025 cash and term deposits held of \$29.1 million was comprised of:

- \$18.0 million of term deposits relating to short term borrowings not yet required
- \$1.7 million cash on hand relating to contract retentions held
- \$9.4 million of cash on hand.

## **4 Accounts Receivable and Arrears**

Total arrears at 31 July 2025 are \$9.2 million, \$3.2 million more than July 2024, and \$1.2 million more than last month.

- Land rates arrears of \$4.8 million, are \$0.9 million more than July 2024, and \$0.5 million less than last month.
- Water rates arrears of \$0.6 million, are \$0.1million more than and July 2024, and are the same as last month.
- Sundry debtors' arrears of \$3.8 million are \$2.2 million more than July 2024, and \$1.7 million more than last month. Two central government Ministries (Health and Housing) comprise \$2.8 million of the arrears (30 days).

## **5 Significance and engagement / Te Hira me te Arawhiti**

The decisions or matters of this Agenda do not trigger the significance criteria outlined in Council's Significance and Engagement Policy, and the public will be informed via agenda publication on the website.

## **6 Attachments / Ngā Tāpiritanga**

Attachment 1 – Treasury report

**TREASURY REPORT**  
**31 JULY 2025**



**S&P GLOBAL RATINGS CREDIT RATING:**

**AA**

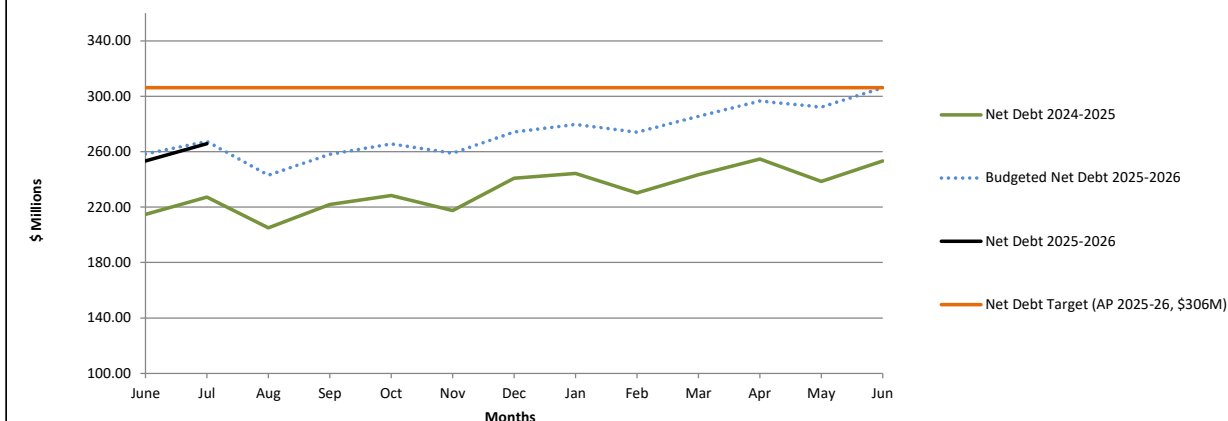
Outlook: Stable

**DEBT SUMMARY:**

**As at 31 July 2025**

|                                                                                                                                                              |             |                    |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------|--------------------|
| <b>External Debt</b>                                                                                                                                         |             |                    |
| Opening public debt as at 1 July 2025                                                                                                                        |             | 295,000,000        |
| Plus loans raised during month                                                                                                                               | 5,000,000   |                    |
| Less loan repayments made during month (Note: Facility movement has been netted)                                                                             | (5,000,000) |                    |
| Net movement in external debt                                                                                                                                |             | -                  |
| <b>Total External Debt</b>                                                                                                                                   |             | <b>295,000,000</b> |
| Less: Cash balances (excluding funds held on behalf)                                                                                                         | 11,082,688  |                    |
| Term deposits (Funds held on deposit until required for project funding)                                                                                     | 18,000,000  |                    |
| Total cash and term deposits                                                                                                                                 |             | 29,082,688         |
| <b>Total Net External Debt</b>                                                                                                                               |             | <b>265,917,312</b> |
| <i>Note: Council also holds \$6.0m of LGFA borrower notes. These are not included in net external debt as per Council's Treasury Risk Management Policy.</i> |             |                    |
| <b>External debt is represented by:</b>                                                                                                                      |             |                    |
| Less than 1 Year                                                                                                                                             |             | 68,000,000         |
| 1-3 Years                                                                                                                                                    |             | 59,000,000         |
| 3-5 Years                                                                                                                                                    |             | 100,000,000        |
| Greater than 5 Years                                                                                                                                         |             | 68,000,000         |
| <b>Total</b>                                                                                                                                                 |             | <b>295,000,000</b> |

**NET EXTERNAL DEBT COMPARED TO BUDGET:**



**Internal Funding\* Reserve balances are indicative only and will be updated as part of the Annual Report/year end process**

|                                                                                           |         |                   |
|-------------------------------------------------------------------------------------------|---------|-------------------|
| Community Development Funds                                                               |         | 11,968,045        |
| Property Reinvestment Reserve - Investment Property Purchases Budgeted for in Annual Plan | -       |                   |
| Property Reinvestment Reserve - Committed/Spent (unbudgeted)                              | 881,924 |                   |
| Remaining Property Reinvestment Reserve Balance - no expenditure budgeted                 |         | 18,399,739        |
| Hikurangi Swamp                                                                           |         | 696,407           |
| Waste Minimisation Reserve                                                                |         | 1,084,134         |
| Water Reserve                                                                             |         | 24,602,220        |
| Wastewater Reserve                                                                        |         | 41,493,694        |
| <b>Total</b>                                                                              |         | <b>98,244,240</b> |

\*Note: Reserves Funding is disclosed to ensure transparency of Council's use of cashflow management to fund capital works.

Where funds are raised through property sales or targeted rates for Water, but they are not required for immediate investment in that asset category, Council's Revenue and Financing policy allows them to be used for other purposes, rather than being held on deposit.

To ensure total transparency of this we create Reserve Accounts so that the appropriate funding can be made available and transferred back when it is required. The timing of projects requiring these funds is set out in our Long Term Plan (LTP) and/or Annual Plan (AP).

These Reserves are not a liability to an external party, and are not part of Council's debt obligations.

The Property Reinvestment Reserve is split to record funds that have been already been committed to land purchases, and the remaining uncommitted balance that is available for other future investment purchases. This reserved is not cash-backed. Any purchase will result in increased debt unless there is budget for investment property purchases, or there have been investment property sales within that financial year.

The only situation where our Net Debt would increase as a result of these Reserves is if major expenditure on Water Assets or property purchases is brought forward from the dates set out in the LTP/AP.



## 4.2 Capital Projects Report for the 12 months ending 30 June 2025

**Meeting:** Finance Committee  
**Date of meeting:** 28 August 2025  
**Reporting officer:** Alan Adcock (General Manager – Corporate/CFO)

### 1 Purpose / Te Kaupapa

To provide the Capital Projects Report for the year ending 30 June 2025 and final carry forwards for inclusion in the 2025-26 revised budget.

### 2 Recommendations / Whakataunga

That the Finance Committee:

1. Notes the Capital Projects Report for the period ending 30 June 2025.
2. Notes the final 2024-25 carry forwards for inclusion in the 2025-26 revised budget.

### 3 Background / Horopaki

This report provides a summary of the full year Capital Projects expenditure for 2024-25 compared to the revised budget, along with the final carry forward position of projects not completed within the financial year.

### 4 Discussion / Whakawhiti kōrero

Capital Projects expenditure of \$115.0 million is \$31.4 million less than revised budget. This represents the largest ever annual capital spend for Whangarei District Council. Final net carry forwards for 2024-25 are \$41.2 million. A summary is included as Attachment 6.

As shown in Attachment 2, once carry forwards are included, the final end of year position indicates an overspend of \$9.7m. \$5.3m of this variance relates to unbudgeted spend approved by Council. The majority of the remaining variance relates to brought forwards from future years' budgets for works completed earlier. The resulting budgets in future years have been reduced accordingly.

## **5 Significance and engagement / Te Hira me te Arawhiti**

The decisions or matters of this Agenda do not trigger the significance criteria outlined in Council's Significance and Engagement Policy, and the public will be informed via agenda publication on the website

## **6 Attachments / Ngā Tāpiritanga**

Attachment 1 Capital Projects Graphs June 2025

Attachment 2 Capital Projects Report by Portfolio June 2025

Attachment 3 Capital Projects Graphs by Portfolio June 2025

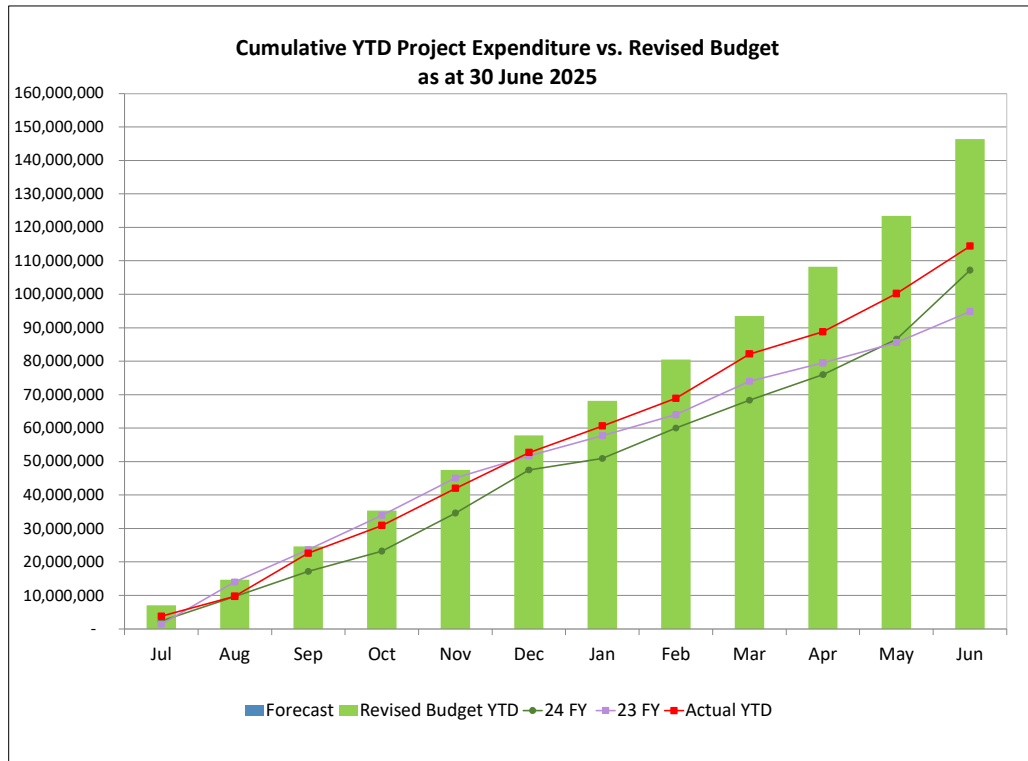
Attachment 4 Capital Projects Report by Expenditure Type June 2025

Attachment 5 Capital Projects Graphs by Expenditure Type June 2025

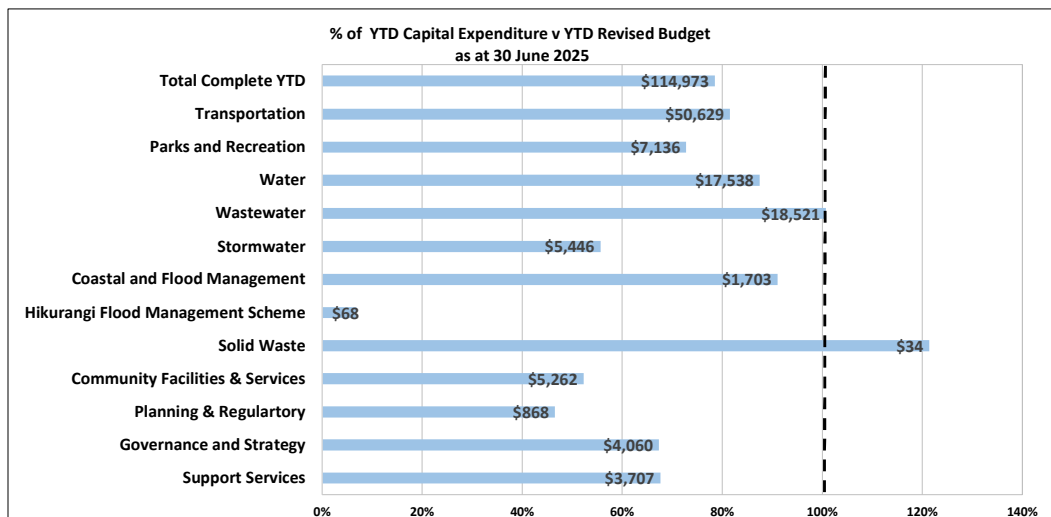
Attachment 6 Final carry forwards from 2024-25 to 2025-26



### CAPITAL PROJECTS GRAPHS AS AT 30 JUNE 2025



The above graph illustrates Councils actual spend year-to-date compared to the prior year actuals, and the budget set as part of the Annual Plan/Long Term Plan. The green bars indicate the estimated timing of the budgeted spend as we progress through the year. This budget phasing occurs at the start of the financial year based on the information known at that time. The timing of the actual spend may differ to this phasing.



The above graph shows what percentage of the phased budgeted capital programme has been achieved year to date by Activity. This can be useful in determining a snapshot view of the year to date progress as well as to highlight timing differences between the actual spend and timing of the phased budget.



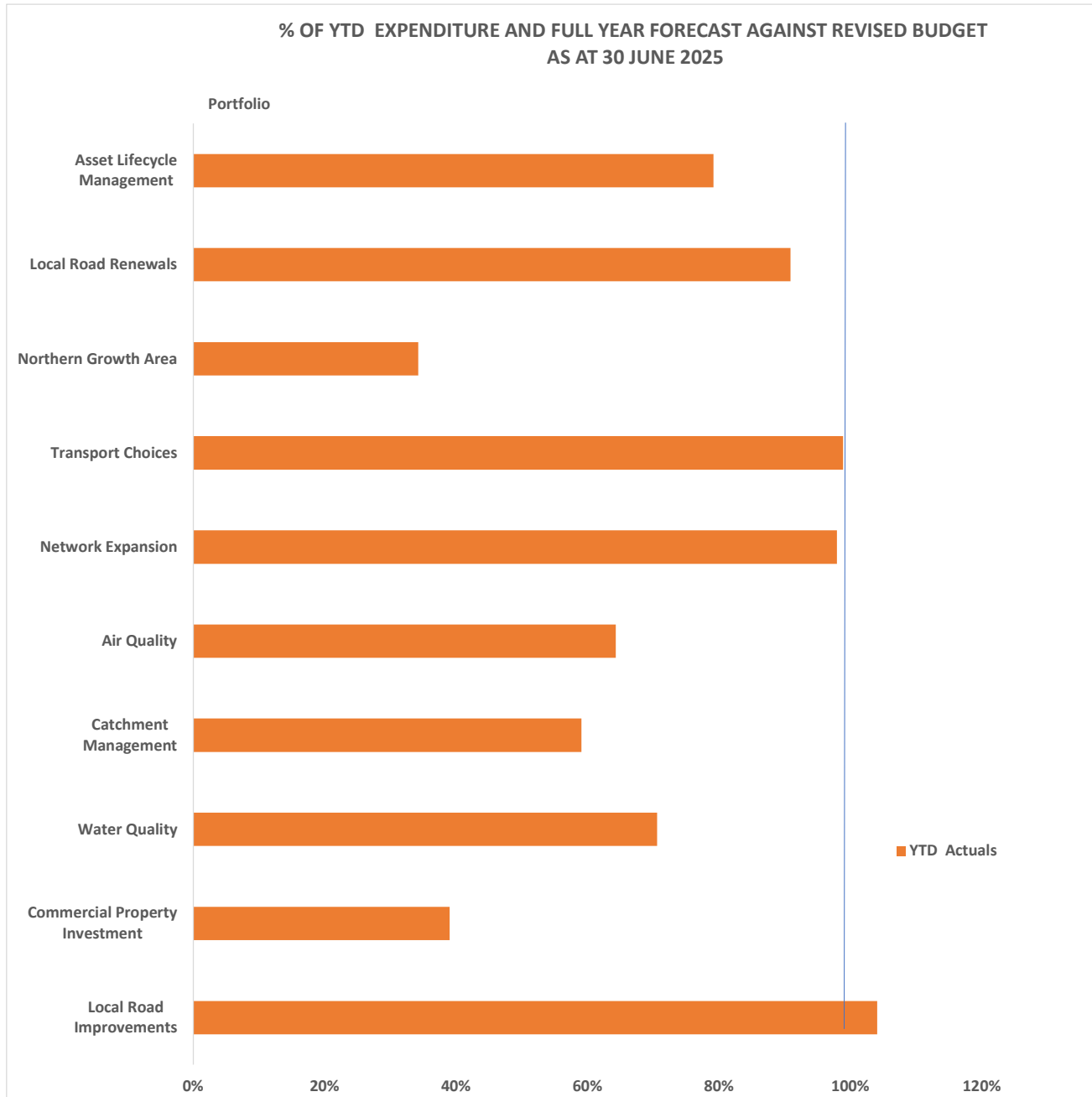
# CAPITAL PROJECTS REPORT BY PORTFOLIO

AS AT 30 June 2025

| Portfolio                                | Total Actuals<br>\$000's | Total Revised Budget<br>\$000's | Variance<br>\$000's | Portfolio Description                                                                                                                                                                                         |
|------------------------------------------|--------------------------|---------------------------------|---------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Asset Lifecycle Management               | 27,196                   | 34,364                          | 7,169               | Replacement of existing assets.                                                                                                                                                                               |
| Local Road Renewals                      | 25,911                   | 28,517                          | 2,607               | NZTA subsidised renewals on existing roads.                                                                                                                                                                   |
| Northern Growth Area                     | 4,111                    | 12,002                          | 7,891               | Works to enable growth to the north of Whangarei City.                                                                                                                                                        |
| Transport Choices                        | 10,385                   | 10,501                          | 116                 | Government funded initiatives to encourage alternative travel to private vehicles.                                                                                                                            |
| Network Expansion                        | 8,844                    | 9,030                           | 186                 | Works to that expand existing networks including Wastewater, Water, Stormwater and CCTV .                                                                                                                     |
| Air Quality                              | 4,104                    | 6,385                           | 2,281               | Initiatives contributing to the improvement of air quality.                                                                                                                                                   |
| Catchment Management                     | 3,593                    | 6,083                           | 2,490               | Improvements to the management of water flows predominantly stormwater and flooding.                                                                                                                          |
| Water Quality                            | 4,059                    | 5,749                           | 1,690               | Growth and improvements designed to improve water quality.                                                                                                                                                    |
| Commercial Property Investment           | 2,168                    | 5,559                           | 3,391               | Investment and development of the commercial property portfolio.                                                                                                                                              |
| Local Road Improvements                  | 5,603                    | 5,385                           | (218)               | NZTA subsidised improvements to existing roads.                                                                                                                                                               |
| Digital Strategy                         | 2,600                    | 4,673                           | 2,073               | Development and maintenance of digital tools to enable efficient council operation.                                                                                                                           |
| Transportation Non- subsidised programme | 2,557                    | 4,054                           | 1,497               | Improvements to the Roding network and associated facilities fully funded by WDC.                                                                                                                             |
| Blue/Green Network Strategy              | 1,293                    | 1,990                           | 697                 | Implementation of the Blue Green Network Strategy including development of ecological and recreational corridors and managing flooding risks and Government funded initiatives to build community resilience. |
| Better Off Funding                       | 607                      | 1,733                           | 1,126               |                                                                                                                                                                                                               |
| Active Recreation and Sport              | 1,270                    | 1,587                           | 317                 | Implementation of the Active Recreation and Sports Strategy including facilities to encourage sports and recreation predominantly sports parks.                                                               |
| Civil Defence & Emergency Management     | 1,341                    | 1,517                           | 176                 | Equipment for civil defence.                                                                                                                                                                                  |
| Open Space Strategy                      | 1,117                    | 1,280                           | 163                 | Provision and improvement of open spaces for recreation.                                                                                                                                                      |
| Public Conveniences                      | 451                      | 1,029                           | 578                 | Public conveniences renewals and development.                                                                                                                                                                 |
| City Centre Strategy                     | 492                      | 971                             | 479                 | Implementation of the CBD Masterplan including development of the Central Business District                                                                                                                   |
| Walking and Cycling Improvements         | 1,064                    | 943                             | (121)               | NZTA funded improvements to walking and cycling facilities.                                                                                                                                                   |
| Community Placemaking                    | 160                      | 816                             | 656                 | Funding to enable Communities to identify and prioritise assets for their communities.                                                                                                                        |
| Cyclone Gabrielle                        | 127                      | 601                             | 474                 | Recovery projects resulting from Cyclone Gabrielle.                                                                                                                                                           |
| Sustainability                           | 15                       | 412                             | 397                 | Initiatives that contribute to a sustainable district.                                                                                                                                                        |
| Housing Strategy                         | 0                        | 285                             | 285                 | Implementation of the Housing Strategy including provision of new Pensioner Housing.                                                                                                                          |
| Knowledge Hub                            | 368                      | 253                             | (115)               | Development of the Knowledge Hub Precinct Plan including the Forum North building and surrounding area.                                                                                                       |
| Pohe Island Masterplan                   | 137                      | 195                             | 58                  | Implementation of the Pohe Island Masterplan                                                                                                                                                                  |
| Transportation Investment Management     | 0                        | 175                             | 175                 | NZTA subsidised investment in strategies to manage transportation.                                                                                                                                            |
| Marine Strategy                          | 5                        | 96                              | 91                  | Development of strategy around provision of marine recreation facilities                                                                                                                                      |
| Cemetery Strategy                        | 32                       | 85                              | 52                  | Implementation of the Cemetery Strategy                                                                                                                                                                       |
| Arts Culture and Heritage Strategy       | 41                       | 54                              | 14                  | Initiatives to implement the Arts Culture and Heritage Strategy to integrate arts culture and heritage to Council facilities.                                                                                 |
| Public Transport Services                | 3                        | 51                              | 48                  | NZTA funded improvements to non private vehicle transportation.                                                                                                                                               |
| Indoor and Outdoor Courts Strategy       | 13                       | 33                              | 21                  | Implementation of the Indoor and Outdoor Courts Strategy including development of hard courts for recreation.                                                                                                 |
| <b>Total</b>                             | <b>109,666</b>           | <b>146,410</b>                  | <b>36,744</b>       |                                                                                                                                                                                                               |
| Council Approved Unbudgeted Expenditure  | 5,307                    | 0                               | (5,307)             | Additional expenditure approved by Council outside of the LTP.                                                                                                                                                |
| Carryforwards                            |                          |                                 | (41,166)            | Net of brought forwards                                                                                                                                                                                       |
| <b>Grand Total</b>                       | <b>114,973</b>           | <b>146,410</b>                  | <b>(9,729)</b>      |                                                                                                                                                                                                               |



## CAPITAL PROJECTS GRAPHS BY PORTFOLIO



The above graph represents capital spend as a percentage of the budget for the same period:

The orange bar reflects full year spend compared to the full year budget. If the orange bar is below 100%, it indicates either a timing difference between the budget phasing and the projects progress, or a delay in the project. Conversely, if the orange bar exceeds the 100% line, the project is ahead of schedule compared to the budget for the 2025 financial year.

The portfolio's have been ordered by value, from largest to smallest, and represents the 10 portfolios with the largest budgets in the current financial year. These 10 portfolios account for 84.4% of the total annual projects budget.



# Capital Projects Report By Expenditure Type

As at 30 June 2025

|                                   | Actual<br>000's | Revised Budget<br>000's | Variance<br>000's |
|-----------------------------------|-----------------|-------------------------|-------------------|
| <b>Whangarei District Council</b> |                 |                         |                   |
| Growth                            | 13,221          | 23,375                  | 10,154            |
| Level of Service                  | 49,405          | 65,639                  | 16,233            |
| Renewal                           | 52,348          | 57,396                  | 5,049             |
| <b>Grand Total</b>                | <b>114,973</b>  | <b>146,410</b>          | <b>31,436</b>     |

## Breakdown by Expenditure Category

|                                       | Actual<br>000's | Revised Budget<br>000's | Variance<br>000's |
|---------------------------------------|-----------------|-------------------------|-------------------|
| <b>Growth</b>                         |                 |                         |                   |
| Transportation                        | 5,054           | 13,446                  | 8,392             |
| Park and Recreation                   | 808             | 1,131                   | 323               |
| Water                                 | 4,443           | 5,033                   | 590               |
| Wastewater                            | 1,622           | 1,698                   | 76                |
| Stormwater                            | 571             | 981                     | 411               |
| Coastal and Flood Management          | 0               | 0                       | 0                 |
| Hikurangi Repo Flood Protection       | 0               | 0                       | 0                 |
| Solid Waste                           | 0               | 0                       | 0                 |
| Community Facilities and Services     | 3               | 5                       | 2                 |
| Planning and Regulatory Services      | 0               | 0                       | 0                 |
| Governance and Strategy               | 162             | 205                     | 42                |
| Support Services                      | 557             | 876                     | 319               |
| <b>Total for Growth</b>               | <b>13,221</b>   | <b>23,375</b>           | <b>10,154</b>     |
| <b>Level of Service</b>               |                 |                         |                   |
| Transportation                        | 22,244          | 23,195                  | 951               |
| Park and Recreation                   | 3,728           | 5,458                   | 1,730             |
| Water                                 | 6,389           | 6,539                   | 150               |
| Wastewater                            | 4,375           | 8,052                   | 3,677             |
| Stormwater                            | 3,574           | 6,731                   | 3,157             |
| Coastal and Flood Management          | 274             | 249                     | (25)              |
| Hikurangi Repo Flood Protection       | 12              | 93                      | 81                |
| Solid Waste                           | 0               | 0                       | 0                 |
| Community Facilities and Services     | 3,667           | 7,756                   | 4,089             |
| Planning and Regulatory Services      | 0               | 0                       | 0                 |
| Governance and Strategy               | 3,647           | 5,213                   | 1,566             |
| Support Services                      | 1,494           | 2,351                   | 857               |
| <b>Total for Level of Service</b>     | <b>49,405</b>   | <b>65,639</b>           | <b>16,233</b>     |
| <b>Renewals</b>                       |                 |                         |                   |
| Transportation                        | 23,331          | 25,435                  | 2,104             |
| Park and Recreation                   | 2,600           | 3,212                   | 612               |
| Water                                 | 6,706           | 8,473                   | 1,767             |
| Wastewater                            | 12,524          | 8,632                   | (3,892)           |
| Stormwater                            | 1,301           | 2,070                   | 768               |
| Coastal and Flood Management          | 1,429           | 1,621                   | 192               |
| Hikurangi Repo Flood Protection       | 56              | 893                     | 837               |
| Solid Waste                           | 34              | 28                      | (5)               |
| Community Facilities and Services     | 1,592           | 2,304                   | 712               |
| Planning and Regulatory Services      | 868             | 1,865                   | 997               |
| Governance and Strategy               | 251             | 609                     | 358               |
| Support Services                      | 1,656           | 2,254                   | 597               |
| <b>Total for Renewals</b>             | <b>52,348</b>   | <b>57,396</b>           | <b>5,049</b>      |
| <b>Total for All Expenditure Type</b> | <b>114,973</b>  | <b>146,410</b>          | <b>31,436</b>     |

## Breakdown by Activity

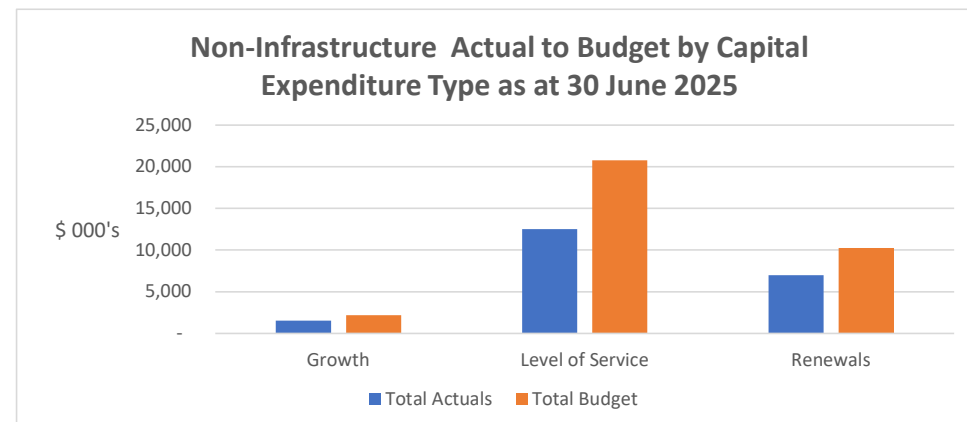
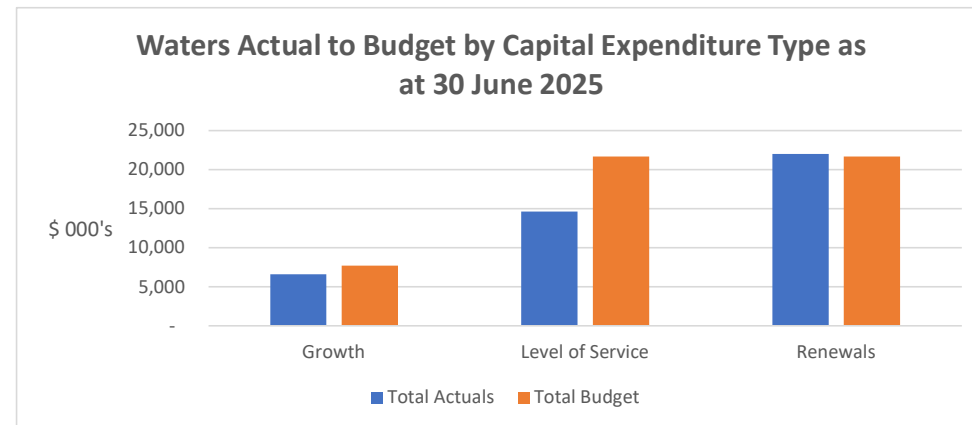
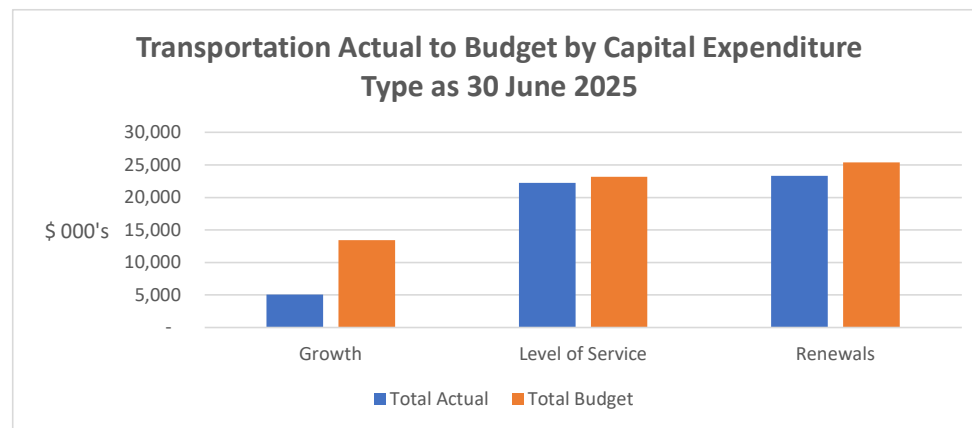
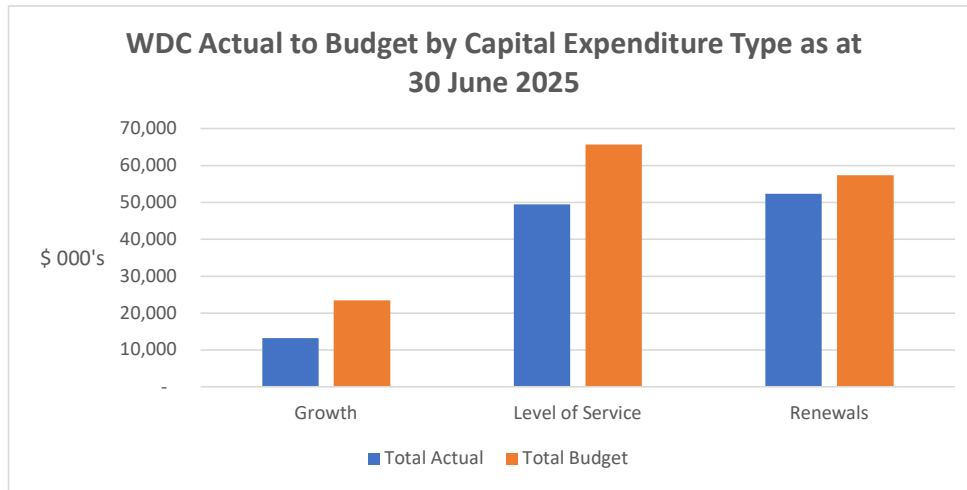
|                                                  | Actual<br>000's | Revised Budget<br>000's | Variance<br>000's |
|--------------------------------------------------|-----------------|-------------------------|-------------------|
| <b>Transportation</b>                            |                 |                         |                   |
| Growth                                           | 5,054           | 13,446                  | 8,392             |
| Level of Service                                 | 22,244          | 23,195                  | 951               |
| Renewals                                         | 23,331          | 25,435                  | 2,104             |
| <b>Total for Transportation</b>                  | <b>50,629</b>   | <b>62,077</b>           | <b>11,447</b>     |
| <b>Park and Recreation</b>                       |                 |                         |                   |
| Growth                                           | 808             | 1,131                   | 323               |
| Level of Service                                 | 3,728           | 5,458                   | 1,730             |
| Renewals                                         | 2,600           | 3,212                   | 612               |
| <b>Total for Park and Recreation</b>             | <b>7,136</b>    | <b>9,801</b>            | <b>2,665</b>      |
| <b>Water</b>                                     |                 |                         |                   |
| Growth                                           | 4,443           | 5,033                   | 590               |
| Level of Service                                 | 6,389           | 6,539                   | 150               |
| Renewals                                         | 6,706           | 8,473                   | 1,767             |
| <b>Total for Water</b>                           | <b>17,538</b>   | <b>20,045</b>           | <b>2,507</b>      |
| <b>Wastewater</b>                                |                 |                         |                   |
| Growth                                           | 1,622           | 1,698                   | 76                |
| Level of Service                                 | 4,375           | 8,052                   | 3,677             |
| Renewals                                         | 12,524          | 8,632                   | (3,892)           |
| <b>Total for Wastewater</b>                      | <b>18,521</b>   | <b>18,382</b>           | <b>(139)</b>      |
| <b>Stormwater</b>                                |                 |                         |                   |
| Growth                                           | 571             | 981                     | 411               |
| Level of Service                                 | 3,574           | 6,731                   | 3,157             |
| Renewals                                         | 1,301           | 2,070                   | 768               |
| <b>Total for Stormwater</b>                      | <b>5,446</b>    | <b>9,782</b>            | <b>4,336</b>      |
| <b>Coastal and Flood Management</b>              |                 |                         |                   |
| Growth                                           | 0               | 0                       | 0                 |
| Level of Service                                 | 274             | 249                     | (25)              |
| Renewals                                         | 1,429           | 1,621                   | 192               |
| <b>Total for Coastal and Flood Management</b>    | <b>1,703</b>    | <b>1,870</b>            | <b>167</b>        |
| <b>Hikurangi Repo Flood Protection</b>           |                 |                         |                   |
| Growth                                           | 0               | 0                       | 0                 |
| Level of Service                                 | 12              | 93                      | 81                |
| Renewals                                         | 56              | 893                     | 837               |
| <b>Total for Hikurangi Repo Flood Protection</b> | <b>68</b>       | <b>987</b>              | <b>919</b>        |
| <b>Solid Waste</b>                               |                 |                         |                   |
| Growth                                           | 0               | 0                       | 0                 |
| Level of Service                                 | 0               | 0                       | 0                 |
| Renewals                                         | 34              | 28                      | (5)               |
| <b>Total for Solid Waste</b>                     | <b>34</b>       | <b>28</b>               | <b>(5)</b>        |



|                                                    | Actual<br>000's | Revised Budget<br>000's | Variance<br>000's |
|----------------------------------------------------|-----------------|-------------------------|-------------------|
| <b>Community Facilities and Services</b>           |                 |                         |                   |
| Growth                                             | 3               | 5                       | 2                 |
| Level of Service                                   | 3,667           | 7,756                   | 4,089             |
| Renewals                                           | 1,592           | 2,304                   | 712               |
| <b>Total for Community Facilities and Services</b> | <b>5,262</b>    | <b>10,066</b>           | <b>4,804</b>      |
| <b>Planning and Regulatory Services</b>            |                 |                         |                   |
| Growth                                             | 0               | 0                       | 0                 |
| Level of Service                                   | 0               | 0                       | 0                 |
| Renewals                                           | 868             | 1,865                   | 997               |
| <b>Total for Planning and Regulatory Services</b>  | <b>868</b>      | <b>1,865</b>            | <b>997</b>        |
| <b>Governance and Strategy</b>                     |                 |                         |                   |
| Growth                                             | 162             | 205                     | 42                |
| Level of Service                                   | 3,647           | 5,213                   | 1,566             |
| Renewals                                           | 251             | 609                     | 358               |
| <b>Total for Governance and Strategy</b>           | <b>4,060</b>    | <b>6,027</b>            | <b>1,967</b>      |
| <b>Support Services</b>                            |                 |                         |                   |
| Growth                                             | 557             | 876                     | 319               |
| Level of Service                                   | 1,494           | 2,351                   | 857               |
| Renewals                                           | 1,656           | 2,254                   | 597               |
| <b>Total for Support Services</b>                  | <b>3,707</b>    | <b>5,481</b>            | <b>1,773</b>      |
| <b>Total for All Activities</b>                    | <b>114,973</b>  | <b>146,410</b>          | <b>31,436</b>     |



## CAPITAL PROJECT GRAPHS BY EXPENDITURE TYPE AS AT 30 JUNE 2025





## Final Carryforwards from 2024/2025 Financial Year to the 2025/2026 Financial Year

| LTP 24 Activity                              | LTP Portfolio Description                      | Net Carryforward  |
|----------------------------------------------|------------------------------------------------|-------------------|
| Transportation                               | City Centre Strategy                           | 633,070           |
|                                              | Local Road Improvements                        | 1,266,980         |
|                                              | Northern Growth Area                           | 7,518,551         |
|                                              | Public Transport Services                      | 51,450            |
|                                              | Transportation Investment Management           | 154,350           |
|                                              | Transportation Non- subsidised programme       | 1,764,760         |
|                                              | Walking and Cycling Improvements               | 60,735            |
| <b>Transportation Total</b>                  |                                                | <b>11,449,896</b> |
| Park and Recreation                          | Active Recreation and Sport                    | 351,463           |
|                                              | Arts Culture and Heritage Strategy             | 16,335            |
|                                              | Asset Lifecycle Management                     | 368,942           |
|                                              | Blue/Green Network Strategy                    | 405,068           |
|                                              | Cemetery Strategy                              | 19,086            |
|                                              | Community Placemaking                          | 122,744           |
|                                              | Cyclone Gabrielle                              | 535,596           |
|                                              | Open Space Strategy                            | 400,610           |
|                                              | Pohe Island Masterplan                         | 57,272            |
|                                              | Public Conveniences                            | 909,914           |
| <b>Park and Recreation Total</b>             |                                                | <b>3,187,030</b>  |
| Water                                        | Asset Lifecycle Management                     | 1,472,688         |
|                                              | Network Expansion                              | 253,656           |
|                                              | Water Quality                                  | 1,024,432         |
| <b>Water Total</b>                           |                                                | <b>2,750,776</b>  |
| Wastewater                                   | Air Quality                                    | 2,280,578         |
|                                              | Asset Lifecycle Management                     | 3,411,038         |
|                                              | Catchment Management                           | 411,600           |
|                                              | Network Expansion                              | 205,800           |
|                                              | Sustainability                                 | 396,938           |
|                                              | Water Quality                                  | 519,985           |
| <b>Wastewater Total</b>                      |                                                | <b>7,225,939</b>  |
| Stormwater                                   | Asset Lifecycle Management                     | 844,627           |
|                                              | Better Off Funding                             | 761,375           |
|                                              | Blue/Green Network Strategy                    | 358,273           |
|                                              | Catchment Management                           | 1,879,471         |
|                                              | Northern Growth Area                           | 180,195           |
|                                              | Water Quality                                  | 435,892           |
| <b>Stormwater Total</b>                      |                                                | <b>4,459,833</b>  |
| Coastal and Flood Management                 | Asset Lifecycle Management                     | 195,824           |
|                                              | Marine Strategy                                | 91,144            |
| <b>Coastal and Flood Management Total</b>    |                                                | <b>286,968</b>    |
| Hikurangi Repo Flood Protection              | Asset Lifecycle Management                     | 719,723           |
|                                              | Catchment Management                           | 198,981           |
| <b>Hikurangi Repo Flood Protection Total</b> |                                                | <b>918,704</b>    |
| Solid Waste                                  | Asset Lifecycle Management                     | - 5,429           |
|                                              | <b>Solid Waste Total</b>                       | <b>- 5,429</b>    |
| Community Facilities and Services            | Asset Lifecycle Management                     | 3,791,473         |
|                                              | Better Off Funding                             | 86,129            |
|                                              | Civil Defence & Emergency Management           | 191,132           |
|                                              | Community Placemaking                          | 533,700           |
|                                              | Housing Strategy                               | 284,930           |
|                                              | <b>Community Facilities and Services Total</b> | <b>4,887,364</b>  |
| Planning and Regulatory Services             | Asset Lifecycle Management                     | 996,933           |
|                                              | <b>Planning and Regulatory Services Total</b>  | <b>996,933</b>    |
| Governance and Strategy                      | Commercial Property Investment                 | 2,854,429         |
|                                              | Northern Growth Area                           | 192,241           |
| <b>Governance and Strategy Total</b>         |                                                | <b>3,046,670</b>  |
| Support Services                             | Asset Lifecycle Management                     | 44,944            |
|                                              | Better Off Funding                             | - 59,285          |
|                                              | Digital Strategy                               | 1,975,584         |
| <b>Support Services Total</b>                |                                                | <b>1,961,243</b>  |
| <b>Grand Total (net of brought forwards)</b> |                                                | <b>41,165,927</b> |

Negative figures denote a movement out of the 2025/2026 financial year.



## 4.3 2025-26 Capital Projects Revised Budget

**Meeting:** Finance Committee  
**Date of meeting:** 28 August 2025  
**Reporting officer:** Alan Adcock (General Manager – Corporate / CFO)

### 1 Purpose / Te Kaupapa

To provide the revised capital projects budget for 2025-26, including final carry forwards from 2024-25.

### 2 Recommendation / Whakataunga

That the Finance Committee:

1. Notes the capital projects revised budget for 2025-26, including final carry forwards from 2024-25.

### 3 Background / Horopaki

The 2025-26 Annual Plan was adopted on 3 July 2025. As part of that agenda, Council resolved to carry forward unspent capital projects as at 30 June 2025 into the 2025-26 year.

This agenda provides the revised capital projects budget for the 2025-26 year after incorporating the final carry forwards.

### 4 Discussion / Whakawhiti kōrero

The adopted 2025-26 Annual Plan included a capital budget of \$156.9m. This budget included estimated carry forwards from the 2024-25 year based on the March 2025 forecast. Now that full year spend to 30 June 2025 has been confirmed, the final carry forwards have been determined. These project budgets have now been incorporated into the revised capital projects budget for 2025-26 which now totals \$176.2m. A breakdown of this budget is included in the attachments to this agenda.

This revised budget will be used for monthly reporting to the Finance Committee.

#### 4.1 Financial/budget considerations

The 2024-34 Long Term Plan sets the capital programme for the ten year period. Often the completion of projects does not align with financial years the spend is budgeted in. Capital

projects that have not been completed within the financial year are carried forward into the following year to enable to work to continue.

Budgeting assumptions are made during the preparation of the LTP and Annual Plan process to estimate the level of debt that will be required to fund the anticipated capital works completed. This ensure that budgeted debt is not overestimated.

This is a large capital programme which will likely result in carry forwards into year 3 of the current LTP. The next Long Term Plan will be a chance to reset and consider prioritising capital budgets to ensure the programme is set at an achievable level. While capital programme delivery continues to improve, there remains a significant gap between the LTP programme and what can be achieved.

Further information will be provided to Council over the coming months as to how future capital programmes can be managed. This will be an important consideration for the incoming Council when it prepares the 206/27 Annual Plan and the 2027-37 Long Term Plan.

## **5 Significance and engagement / Te Hira me te Arawhiti**

The decisions or matters of this Agenda do not trigger the significance criteria outlined in Council's Significance and Engagement Policy, and the public will be informed via agenda publication on the website.

## **6 Attachments / Ngā Tāpiritanga**

Attachment 1 2025-26 Capital Projects Revised Budget by Portfolio

Attachment 2 2025-26 Capital Projects Revised Budget by Expenditure Type



## CAPITAL PROJECTS REVISED BUDGET BY PORTFOLIO FOR THE YEAR 2026

| Portfolio                                | Revised<br>2026 Budget<br>\$000's | Portfolio Description                                                                                                         |
|------------------------------------------|-----------------------------------|-------------------------------------------------------------------------------------------------------------------------------|
| Asset Lifecycle Management               | 39,978                            | Replacement of existing assets.                                                                                               |
| Local Road Renewals                      | 29,843                            | NZTA subsidised renewals on existing roads.                                                                                   |
| Northern Growth Area                     | 21,090                            | Works to enable growth to the north of Whangarei City.                                                                        |
| Water Quality                            | 20,996                            | Growth and improvements designed to improve water quality.                                                                    |
| Local Road Improvements                  | 7,686                             | NZTA subsidised improvements to existing roads.                                                                               |
| Catchment Management                     | 7,416                             | Improvements to the management of water flows predominantly stormwater and flooding.                                          |
| Transportation Non- subsidised programme | 7,183                             | Improvements to the Roading network and associated facilities fully funded by WDC.                                            |
| Network Expansion                        | 6,651                             | Works to that expand existing networks including Wastewater, Water, Stormwater and CCTV .                                     |
| Commercial Property Investment           | 5,021                             | Investment and development of the commercial property portfolio.                                                              |
| Digital Strategy                         | 4,500                             | Development and maintenance of digital tools to enable efficient council operation.                                           |
| Active Recreation and Sport              | 4,472                             | Implementation of the Active Recreation and Sports Strategy including facilities to encourage sports and recreation           |
| Air Quality                              | 3,684                             | Initiatives contributing to the improvement of air quality.                                                                   |
| Walking and Cycling Improvements         | 2,626                             | NZTA funded improvements to walking and cycling facilities.                                                                   |
| Housing Strategy                         | 2,388                             | Implementation of the Housing Strategy including provision of new Pensioner Housing.                                          |
| Public Conveniences                      | 1,962                             | Public conveniences renewals and development.                                                                                 |
| City Centre Strategy                     | 1,884                             | Implementation of the CBD Masterplan including development of the Central Business District                                   |
| Better Off Funding                       | 1,564                             | Government funded initiatives to build community resilience.                                                                  |
| Blue/Green Network Strategy              | 1,289                             | Implementation of the Blue Green Network Strategy including development of ecological and recreational corridors and          |
| Community Placemaking                    | 1,192                             | Funding to enable Communities to identify and prioritise assets for their communities.                                        |
| Sustainability                           | 923                               | Initiatives that contribute to a sustainable district.                                                                        |
| Cemetery Strategy                        | 773                               | Implementation of the Cemetery Strategy                                                                                       |
| Pohe Island Masterplan                   | 583                               | Implementation of the Pohe Island Masterplan                                                                                  |
| Cyclone Gabrielle                        | 536                               | Recovery projects resulting from Cyclone Gabrielle.                                                                           |
| Open Space Strategy                      | 448                               | Provision and improvement of open spaces for recreation.                                                                      |
| Knowledge Hub                            | 426                               | Development of the Knowledge Hub Precinct Plan including the Forum North building and surrounding area.                       |
| Transportation Investment Management     | 386                               | NZTA subsidised investment in strategies to manage transportation.                                                            |
| Civil Defence & Emergency Management     | 195                               | Equipment for civil defence.                                                                                                  |
| Indoor and Outdoor Courts Strategy       | 189                               | Implementation of the Indoor and Outdoor Courts Strategy including development of hard courts for recreation.                 |
| Marine Strategy                          | 154                               | Development of strategy around provision of marine recreation facilities                                                      |
| Arts Culture and Heritage Strategy       | 116                               | Initiatives to implement the Arts Culture and Heritage Strategy to integrate arts culture and heritage to Council facilities. |
| Public Transport Services                | 51                                | NZTA funded improvements to non private vehicle transportation.                                                               |
| <b>Total</b>                             | <b>176,206</b>                    |                                                                                                                               |



## CAPITAL PROJECTS REVISED BUDGET BY EXPENDITURE TYPE 2026

|                                   | Revised<br>Budget<br>000's |
|-----------------------------------|----------------------------|
| <b>Whangarei District Council</b> |                            |
| Growth                            | 35,943                     |
| Level of Service                  | 76,506                     |
| Renewal                           | 63,757                     |
| <b>Grand Total</b>                | <b>176,206</b>             |

### Breakdown by Expenditure Category

|                                   | Revised<br>Budget<br>000's |
|-----------------------------------|----------------------------|
| <b>Growth</b>                     |                            |
| Transportation                    | 19,173                     |
| Park and Recreation               | 1,245                      |
| Water                             | 6,704                      |
| Wastewater                        | 5,608                      |
| Stormwater                        | 2,140                      |
| Coastal and Flood Management      | 0                          |
| Hikurangi Repo Flood Protection   | 0                          |
| Solid Waste                       | 0                          |
| Community Facilities and Services | 7                          |
| Planning and Regulatory Services  | 0                          |
| Governance and Strategy           | 232                        |
| Support Services                  | 834                        |
| <b>Total for Growth</b>           | <b>35,943</b>              |

|                                   |               |
|-----------------------------------|---------------|
| <b>Level of Service</b>           |               |
| Transportation                    | 22,651        |
| Park and Recreation               | 9,087         |
| Water                             | 9,853         |
| Wastewater                        | 7,554         |
| Stormwater                        | 8,225         |
| Coastal and Flood Management      | 185           |
| Hikurangi Repo Flood Protection   | 161           |
| Solid Waste                       | 0             |
| Community Facilities and Services | 12,915        |
| Planning and Regulatory Services  | 0             |
| Governance and Strategy           | 3,605         |
| Support Services                  | 2,269         |
| <b>Total for Level of Service</b> | <b>76,506</b> |

|                                   | <b>Revised<br/>Budget<br/>000's</b> |
|-----------------------------------|-------------------------------------|
| <b>Renewals</b>                   |                                     |
| Transportation                    | 26,870                              |
| Park and Recreation               | 4,018                               |
| Water                             | 10,665                              |
| Wastewater                        | 10,458                              |
| Stormwater                        | 737                                 |
| Coastal and Flood Management      | 887                                 |
| Hikurangi Repo Flood Protection   | 1,625                               |
| Solid Waste                       | 94                                  |
| Community Facilities and Services | 3,275                               |
| Planning and Regulatory Services  | 997                                 |
| Governance and Strategy           | 1,671                               |
| Support Services                  | 2,460                               |

|                           |               |
|---------------------------|---------------|
| <b>Total for Renewals</b> | <b>63,757</b> |
|---------------------------|---------------|

|                                       |                |
|---------------------------------------|----------------|
| <b>Total for All Expenditure Type</b> | <b>176,206</b> |
|---------------------------------------|----------------|

#### **Breakdown by Activity**

|                                 |               |
|---------------------------------|---------------|
| <b>Transportation</b>           |               |
| Growth                          | 19,173        |
| Level of Service                | 22,651        |
| Renewals                        | 26,870        |
| <b>Total for Transportation</b> | <b>68,694</b> |

|                                      |               |
|--------------------------------------|---------------|
| <b>Park and Recreation</b>           |               |
| Growth                               | 1,245         |
| Level of Service                     | 9,087         |
| Renewals                             | 4,018         |
| <b>Total for Park and Recreation</b> | <b>14,351</b> |

|                        |               |
|------------------------|---------------|
| <b>Water</b>           |               |
| Growth                 | 6,704         |
| Level of Service       | 9,853         |
| Renewals               | 10,665        |
| <b>Total for Water</b> | <b>27,221</b> |

|                             |               |
|-----------------------------|---------------|
| <b>Wastewater</b>           |               |
| Growth                      | 5,608         |
| Level of Service            | 7,554         |
| Renewals                    | 10,458        |
| <b>Total for Wastewater</b> | <b>23,620</b> |

|                             |               |
|-----------------------------|---------------|
| <b>Stormwater</b>           |               |
| Growth                      | 2,140         |
| Level of Service            | 8,225         |
| Renewals                    | 737           |
| <b>Total for Stormwater</b> | <b>11,102</b> |

|                                                    | Revised<br>Budget<br>000's |
|----------------------------------------------------|----------------------------|
| <b>Coastal and Flood Management</b>                |                            |
| Growth                                             | 0                          |
| Level of Service                                   | 185                        |
| Renewals                                           | 887                        |
| <b>Total for Coastal and Flood Management</b>      | <b>1,072</b>               |
| <b>Hikurangi Repo Flood Protection</b>             |                            |
| Growth                                             | 0                          |
| Level of Service                                   | 161                        |
| Renewals                                           | 1,625                      |
| <b>Total for Hikurangi Repo Flood Protection</b>   | <b>1,786</b>               |
| <b>Solid Waste</b>                                 |                            |
| Growth                                             | 0                          |
| Level of Service                                   | 0                          |
| Renewals                                           | 94                         |
| <b>Total for Solid Waste</b>                       | <b>94</b>                  |
| <b>Community Facilities and Services</b>           |                            |
| Growth                                             | 7                          |
| Level of Service                                   | 12,915                     |
| Renewals                                           | 3,275                      |
| <b>Total for Community Facilities and Services</b> | <b>16,197</b>              |
| <b>Planning and Regulatory Services</b>            |                            |
| Growth                                             | 0                          |
| Level of Service                                   | 0                          |
| Renewals                                           | 997                        |
| <b>Total for Planning and Regulatory Services</b>  | <b>997</b>                 |
| <b>Governance and Strategy</b>                     |                            |
| Growth                                             | 232                        |
| Level of Service                                   | 3,605                      |
| Renewals                                           | 1,671                      |
| <b>Total for Governance and Strategy</b>           | <b>5,507</b>               |
| <b>Support Services</b>                            |                            |
| Growth                                             | 834                        |
| Level of Service                                   | 2,269                      |
| Renewals                                           | 2,460                      |
| <b>Total for Support Services</b>                  | <b>5,563</b>               |
| <b>Total for All Activities</b>                    | <b>176,206</b>             |



## 4.4 Operations Report – Corporate Group – August 2025

**Meeting:** Finance Committee  
**Date of meeting:** 28 August 2025  
**Reporting officer:** Alan Adcock (General Manager – Corporate/CFO)

### 1 Purpose / Te Kaupapa

To provide a brief overview of work across functions and services that the Corporate Group is responsible for.

### 2 Recommendation / Whakataunga

That the Finance Committee notes the Corporate Group operations report for August 2025 which contains statistics up to 31 July 2025.

### 3 Background / Horopaki

The Finance Committee terms of reference list key responsibilities which include provision of an operations report from the Corporate Group.

This report provides a brief overview of some of the operational highlights across functions and services of the Corporate Group, including comment on some future planned activities. This report contains statistics up to 31 July 2025 and other narrative is provided as a general update.

### 4 Significance and engagement / Te Hira me te Arawhiti

The decisions or matters of this agenda do not trigger the significance criteria outlined in Council's Significance and Engagement Policy, and the public will be informed via agenda publication on the website.

### 5 Attachment / Ngā Tāpiritanga

Attachment 1 – Corporate Group Operations Report – August 2025 (statistics to 31 July 2025)





# Operations Report Corporate Group

**August 2025**  
*(statistics to 31 July 2025)*

## Contents

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## **1. Management Update**

This report contains statistics up to 31 July 2025 and other narrative is provided as a general update.

### **1.1 Procurement Reporting – Contracts Approved Under Delegated Authority**

#### **Property Department**

CON24015 Pensioner Housing Grounds Maintenance, Term is 4 Years at 115K per annum

### **1.2 Current Priorities and Challenges**

The challenges and priorities for the Corporate Group are outlined in the report under each department. In summary, the main issues are:

- Financial pressures on ICT budget
- Finalising 2025-26 revised budgets ready for phasing
- Confirming 2024-25 Capital programme spend and resulting carry forwards
- Preparation of the 2024-25 Annual Report
- Financial modelling for Local Waters Done Well
- First instalment of Land Rates
- Debt Collection
- 2024 General Revaluation objections
- Review of CCTV across Council sites
- Fleet Strategy
- Security and Related Services Procurement
- Elections campaign (Stand phase)
- Local Water Done Well communications
- Parking consultation
- Dog registration
- Reduction in debtor arrears
- Asbestos removal following surveys of priority sites
- Condition assessment of Commercial buildings in town basin
- Tenanting of vacant commercial premises
- Renewal of leases and licences – Commercial and Community
- Transfer of responsibility for management of Airport
- Airport noise complaints

## 2. Information Communications Technology (ICT)

### 2.1 Current Priorities and Challenges

Our current priorities are supporting the Revenue team through the Rates Setting process. A number of issues occurred during this process that required the Revenue team to split the rates notices into 10 separate parcels of work for printing. This caused further issues that compounded the work required by Revenue. The ICT team prioritised this over other work which has created a significant backlog across the team.

To remove the burden of other Departments needing to review and publish over 700 unpublished business processes in our Promapp application, all ICT Department staff worked together under the guidance of two of our experts to successfully publish all 700 processes in under 2 hours in order to keep this project on track. It was a great team building activity with a great outcome. The estimated time to complete this work by one person was three weeks.

#### Financial pressures escalating

There are numerous factors placing pressures on ICT budgets. Some of the impacts are discussed below, but in summary they relate to:

- Additional ICT support costs for growth in staff numbers that was not known at the time LTP budgets were set
- Increasing demand and expectations for digital services from both internal and external customers
- Vendor licence increases outstripping both the Consumer Price Index and the Local Government Cost Index
- Increased expenditure required for cyber-security
- Authoritative guidance for financial reporting standards that re-categorised software as a service (Saas) costs from CapEx spend to OpEX.

To add further context from an external perspective, Government agencies within NZ are experiencing rising costs, especially in Cloud Service Adoption which shifts spend from CapEX to OpEX with agencies now spending double what they did in 2018 for the same services. NZ government agencies' software licensing fees jumped ~70% from 2018 to 2023 at ten major departments due largely to cloud-based licensing. Local councils moving core systems (e.g. ERP, GIS, records management) to cloud platforms face similar upward cost pressure.

Major software and IT service providers have increased prices, driving up council ICT budgets. A notable case is Microsoft's licensing, where an all-of-government agreement saw costs rise in the order of 10–15% in recent renewals. Councils also report rising costs for enterprise applications and support contracts (often 5–10% annual uplifts).

While specific local government figures are scarce on cybersecurity, many councils have increased their cybersecurity budgets substantially in recent years (often seeing double-digit percentage growth year-on-year) to improve resilience and comply with national guidelines.

There is a growing expectation for digital transformation in local government (online services, smart infrastructure, data analytics). Meeting these demands often requires significant upfront investment in new systems or expanding capacity of existing ones.

For councils, this translates to difficult choices: invest in improved digital platforms (to meet community expectations and efficiency goals) versus the constraints of limited budgets. The result has been upward pressure on IT operating and capital expenditures, as councils try to do more with technology. In many cases, digital projects are phased or delayed, but core areas like customer self-service portals, GIS enhancements, and mobile workforce tools are still driving costs up incrementally.

## Impacts on ICT operations

At the beginning of the 2024/2025 Financial Year, the ICT operating budget was under significant pressure, initially tracking towards a \$1 million overspend. In order to bring this back into line with the budget the ICT Department completed a significant turnaround by reducing cost overruns (e.g. converting contractor roles to staff, saving hundreds of thousands of dollars) and tightening software licensing management (right-sizing Microsoft and Adobe licenses, offsetting ~15% vendor price hikes (saving ~\$115k per year)). Additional measures included curbing unnecessary spend, renegotiating key contracts (like the Infrastructure as a Service (IaaS) contract renegotiation saving \$250k annually), and fostering a team culture of fiscal discipline – ensuring ICT delivered required services while proactively managing software license cost across the whole of Council within the original budget (i.e. the forecast \$1 million variance was completely eradicated).

Our focus heading into the new Financial Year is to look under every rock, continue to negotiate for better cost outcomes on every contract, and to reduce identifiable waste. However, there are already some challenges apparent. This financial year, constrained ICT Budgets for 2025/26 has meant an expected shortfall of \$394k within our Operating Budget. \$359k of this was identified as High Risk Items that were not able to be included in the 2025/2026 Budget as part of the Annual Plan process, with a further \$38k of required savings needed as a result of lowering the forecast rates rise when the Annual Plan was adopted.

Work has already been done to rationalise planned expenditure to accommodate these shortfalls, however there is now no room for growth, unexpected increases or unknown costs.

This will result in the ICT budget unlikely to absorb any new licensing costs, such as the requested \$75k for Microsoft CoPilot, the preferred enterprise Artificial Intelligence (AI) tool that has proven to be highly beneficial in our pilot program in enabling staff to innovate and reduce time on onerous tasks.

There is now increased risk that other Departments might introduce technology without the oversight of the ICT department, increasing security risk and decentralising ICT expenditure.

## Impacts on Capital projects

Ironically, the capital budgets set over the first few years of this LTP are more than adequate to fund the proposed upgrades and enhancements to our core systems. However, as nearly all our software is now delivered on a Software as a Service basis, we are no longer able to capitalise project expenditure due to changes in accounting treatment.

This means that while the project budgets are sufficient for our needs, we cannot spend these funds without seriously compromising our Balanced Budget and Everyday Funding benchmarks.

We have reached out to our major vendor TechnologyOne on this sector-wide issue, and ICT will continue to work with Finance to manage overall budgets within agreed limits.

This issue is not unique to ICT, with a number of other departments across Council having money in capital budgets that would more than cover unbudgeted OpEx spend arising unexpectedly. i.e we have enough funding available overall, but the rates funded portion is not enough to cover our operational work program.

Another significant challenge is how we operationalise our LTP Capital for projects into OpEX. The ICT Department does not have the operating budget to match the required projects that create inherent efficiencies within Council or provide services to our Community.

The current 10-year Capital Programme of Work does not align with new consumption base software, licensing or indeed infrastructure that sits within OpEX budgets.

## 2.2 Operational Activities

The ICT team is focused on supporting Council through start of financial year activities, deploying new IT infrastructure across Council premises, and continuing to execute and deliver projects in line with the Long-Term Plan.

We have started working on devices and an induction process for Elected Members to align with the formation a of a new Council after elections.

### Procurement

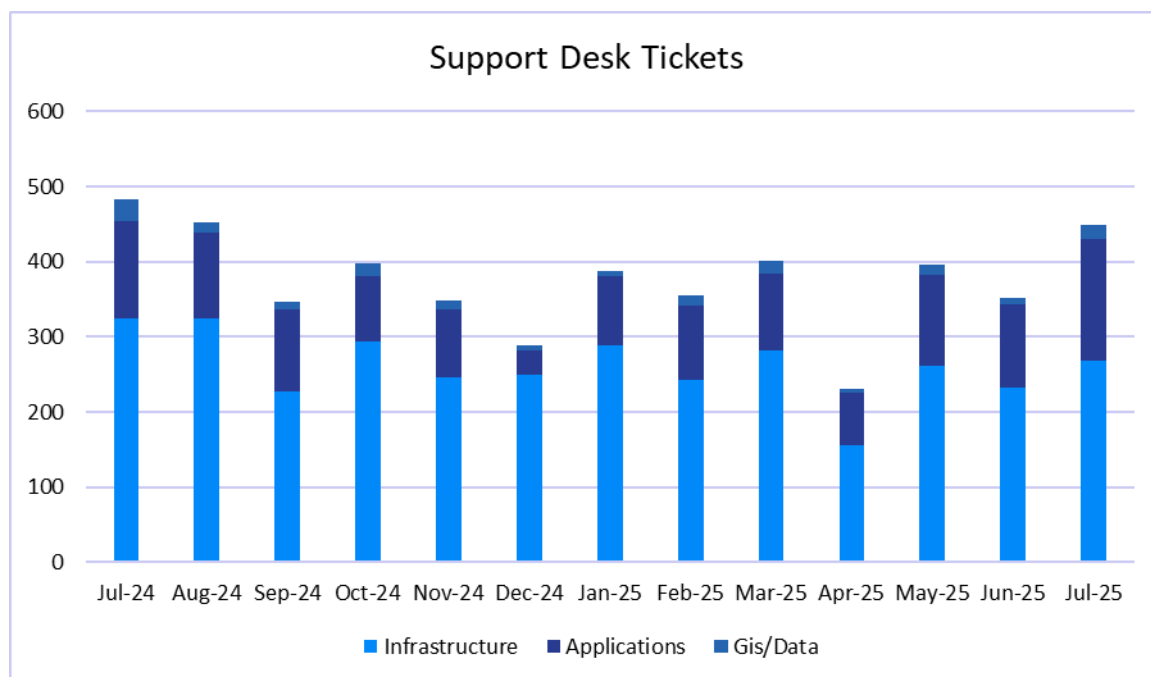
In July, we reviewed and completed 10 Software and Contract renewals to ensure we continue to align to Council's procurement policy.

### ICT End User Support

#### Business as usual

The User Support team's focus has been on the financial year end rollover.

Work is underway to update learning content on Kete, bringing it up to date and making sure it reflects current processes and tools. We're also focused on refreshing ICT equipment by swapping out older gear to keep things current.



Six new staff members joined Council during June and ICT provided induction and co-ordinated training as needed.

### ICT Systems Engineering

#### Managed Events/P1 Incidents for the month

A power outage within Whangarei caused issues with networking equipment on Level 3 at Te Iwitahi. Due to the resilience of our core infrastructure we experienced a minor fault that was quickly rectified and the failed equipment was brought back into service.

#### Availability Management

All systems at our Datacentre remained operational.

### Business as usual

The Systems Engineering team is working on the development of configuration on new type of devices for Elected Members as well as firewall configuration and policy review. The team is progressing on the implementation of penetration test action items and successfully published the new Coastal and Flood Management asset class in our Geographical Information System (GIS).

### Information Management

#### Business as Usual

- The Falcon scanner is now back up and running with the stacker motor fixed
- The disaster recovery kit has been fully stocked with Assura Health and Safety system updated to manage regular checks and trial mould 'readiness' sessions
- Business to Business external collaboration has been deployed in our Sharepoint environment. Requests to have this facility are continuing to grow across the organisation
- The first ad hoc digitisation information has been scanned and provided to the Building Department

### ICT Projects

The TechOne HRIS Talent and Succession project has begun, introducing a new module to replace the manual Word/PDF process on Kete. This system streamlines performance self-assessments, facilitates staff development, and improves monitoring, notifications workflows, metrics, and reporting within TechOne HRIS.

LEGEND  NOT STARTED  ON TRACK  GOING OFF TRACK  OFF TRACK

| Project Name                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Phase     | On Schedule                                                                           | On Budget                                                                             |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------|---------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------|
| Windows 11 Deployment (W11)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Closing   |  |  |
| <ul style="list-style-type: none"> <li>• Last special devices being updated</li> <li>• Planned closing activities has begun</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                              |           |                                                                                       |                                                                                       |
| TechOne – NA (Data preparation for Transitions)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Execution |  |  |
| <ul style="list-style-type: none"> <li>• Name amalgamation is underway to de-duplicate request customers details. The Requests Team has completed 2,400 of the 8,000+ backlog</li> <li>• The Line Name matching tool has been tested and now implemented. This will reduce the amount of manual intervention required and will ease the effort to find customer details</li> <li>• Transition readiness checks and data reconciliations will be well prepared, following the next rehearsal for Transitions 1b in August</li> </ul> |           |                                                                                       |                                                                                       |
| TechOne – DXP (Phase Two – Payments)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | Planning  |  |  |
| <ul style="list-style-type: none"> <li>• Final Business Process Automation (BPA) for DXP Core article workflow currently in test</li> <li>• Requirements to be documented and testing planned</li> </ul> <p>Future DXP implementation to continue with Phase Two – Payments which is expected to Go Live in line with TechOne – Ci to CiA Transitions 1b</p>                                                                                                                                                                        |           |                                                                                       |                                                                                       |
| TechOne – Ci to CiA Transition 1b                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Execution |  |  |

|                                                                                                                                                                                                                                                                                                                                                                                                                                                 |            |                                                                                       |                                                                                       |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|---------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"> <li>• <i>System testing round 3 completed</i></li> <li>• <i>Work continues to correct defects and issues</i></li> <li>• <i>Go Live Rehearsal planned</i></li> <li>• <i>Preparations for Gate Meeting coming up next month</i></li> </ul> <p>As previously reported, the Programme of Work for TechOne Transitions is currently not at risk, remaining on Budget and still within the projected timeframe</p> |            |                                                                                       |                                                                                       |
| Alpha One Build Integration                                                                                                                                                                                                                                                                                                                                                                                                                     | Execution  |    |    |
| <ul style="list-style-type: none"> <li>• <i>Document transfer from Build to KETE (SharePoint document management system) testing requirements have been documented. Objective to provide a statement of work to implement improvement integration</i></li> </ul>                                                                                                                                                                                |            |                                                                                       |                                                                                       |
| HRIS – Talent and Succession                                                                                                                                                                                                                                                                                                                                                                                                                    | Execution  |    |    |
| <ul style="list-style-type: none"> <li>• <i>Requirements now documented</i></li> <li>• <i>High level timeline and scope discussed and to be confirmed with stakeholders</i></li> <li>• <i>Configuration to begin in test environment beginning of August</i></li> </ul>                                                                                                                                                                         |            |                                                                                       |                                                                                       |
| Firewall Replacement                                                                                                                                                                                                                                                                                                                                                                                                                            | Execution  |    |    |
| <ul style="list-style-type: none"> <li>• <i>Hardware replacement completed. Policy currently being drafted to document firewall rule changes</i></li> </ul>                                                                                                                                                                                                                                                                                     |            |                                                                                       |                                                                                       |
| Rendezvous Replacement                                                                                                                                                                                                                                                                                                                                                                                                                          | Initiation |    |    |
| <ul style="list-style-type: none"> <li>• <i>Business case to be completed</i></li> <li>• <i>Moving to procurement stage</i></li> </ul>                                                                                                                                                                                                                                                                                                          |            |                                                                                       |                                                                                       |
| Flowingly - ProMapp Replacement                                                                                                                                                                                                                                                                                                                                                                                                                 | Execution  |  |  |
| <ul style="list-style-type: none"> <li>• <i>Processing and archiving of old ProMapp process documents completed</i></li> <li>• <i>System training planned</i></li> <li>• <i>New in-built governance functionality will be available beginning of August</i></li> </ul>                                                                                                                                                                          |            |                                                                                       |                                                                                       |
| Cemetery Record digitisation                                                                                                                                                                                                                                                                                                                                                                                                                    | Execution  |  |  |
| <ul style="list-style-type: none"> <li>• <i>Three batches of Cemetery files have been delivered to Desktop Imaging. The first batch has been scanned, and Quality Control is in progress</i></li> </ul>                                                                                                                                                                                                                                         |            |                                                                                       |                                                                                       |
| Telecommunication Contracts Procurement                                                                                                                                                                                                                                                                                                                                                                                                         | Execution  |  |  |
| <ul style="list-style-type: none"> <li>• <i>Review of telephony contracts in progress</i></li> <li>• <i>Estimation of costs and cost savings based on the new proposed charges, and align with Long Term Plan (LTP) budgets in progress</i></li> <li>• <i>Preparation activities for Variation to Procurement for all Telephony contracts</i></li> </ul>                                                                                        |            |                                                                                       |                                                                                       |



### **3. Finance**

#### **3.1 Current Priorities and Challenges**

Key priorities this month include:

- Finalising 2025-26 revised budgets ready for phasing
- Confirming 2024-25 Capital programme spend and resulting carry forwards
- Year end adjustments and reconciliations
- Ongoing preparation of the 2024-25 Annual Report
- Assisting with financial modelling for Local Waters Done Well
- Input into various agendas across Council's businesses.

Key challenges this month include:

- Working through additional complexities and changes to existing processes as a result of multi-year forecasting and budget transfer functionality.

#### **3.2 Operational Activities**

##### **2025-26 Annual Plan**

The Finance team are incorporating changes for June 2025 carry forwards and finalising the revised budget.

The 2025-26 revised budget will then be phased for both operational and project expenditure to enable year to date reporting for the new financial year.

##### **2025-26 Financial Year**

Only one month into the 2025-26 financial year, we are already referring staff to the defined process for dealing with unbudgeted spend (these guidelines were included in last month's Finance Committee agenda). With continued changing circumstances and cost pressures, operating within the budget will likely remain a challenge throughout the year.

Once the phasing of budgets is complete we will be able to provide year to date actual vs budget reports to the Committee. We expect to provide a financial report for the 2 months ending 31 August 2025 to the September Finance Committee meeting.

##### **2024-25 Annual Report and Audit**

The preparation of the 2024-25 Annual Report will continue to be a key focus over the next month ahead of the final audit. Progress is going well with a large majority of reconciliations and adjustments complete. Further work is in progress to finalise fair value assessments, valuations of roading assets and investment properties, preparation of the Property, Plant and Equipment note and reconciliations, as well as various disclosures required for the Annual Report.

Draft results will be shared as part of the preparation of the Annual Report. Due to elections, this information may be provided through either the Finance Committee, Risk and Audit Committee, and/or information agendas. Management will endeavour to keep Elected Members abreast of progress throughout the audit process.

## 4. Revenue

### 4.1 Current Priorities and Challenges

Priorities:

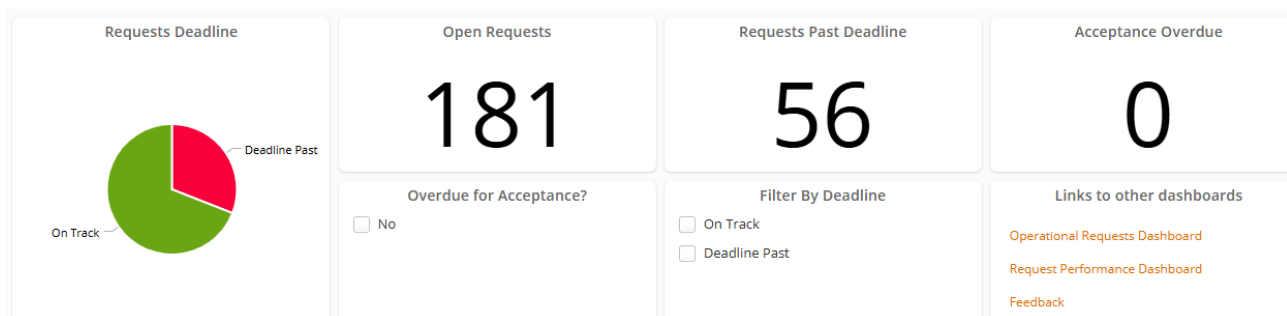
- Land rates first instalment
- Year end and year start tasks
- 2024 General Revaluation objections
- 2024-25 Annual Report

Challenges:

- Debt collection

### 4.2 Request System Dashboard:

1 August 2025:



There were 947 online customer service requests received in July which is 81 more than last year. The 181 unresolved requests are: 44 - August, 81 - July, and the remaining 56 are valuation queries past the deadline, we are expecting to be resolved in August.

### 4.3 Team Activities

#### Projects

The focus during July, was:

- 2024-25 Audit – responding to auditors' requests for information
- Transition of debtors to CiA (scheduled for October).
- Revenue and debtor information for 2024-25 Annual Report

#### Operations

The first land rates instalment was posted and emailed a week later than we had hoped to. There were 4,000 rates notices that weren't transferred to our mail house provider and these were sent early August with the payment due date extended to 1 September.

There are 535 objections to the 2024 general revaluation to be completed. We have contacted the ratepayers with payment options for the 2025-26 rates

#### Payments

The dog license early bird discount period ended on 31 July. By 7 August, 11,452 (85%) of 13,510 dog licenses were paid a 3% reduction of unpaid licenses from August 2024. Contactless payment increased 2% this year, with 75% paying online and 25% paying at one of our contact centres or at

Armorguard's offices, compared to 27% last year. The customer services team managed the counter payments without the normal additional support from Armorguard.

**Collection activities**

Approximately 3,000 pre-filled rates rebates forms were posted to customers after the rates were set. The rebates office opened on 21 July. We employ 3 additional temporary staff to help, and we are lucky last year's team all returned to help again this year. In addition to Te Iwitihi, customers can drop into the Ruakaka office and the I-site where they can be assisted in completing the form. At 8 August, 1,970 rebates have been received up almost 300 at the same time last year. Approximately a third are new applicants.

While many ratepayers have made payment arrangements, financial institutions have received 448 intentions to demands for rates arrears.

With the high number of transactional tasks (dog licenses and rates rebates) little proactive collection work has been possible. However, the June reminder and July intentions to demand sent to the banks has generated payments and contact to find longer payment solutions.

## 5. *Business Support*

The Business Support team has continued to deliver core services while progressing several key initiatives that contribute to improved operational efficiency, safety, and stakeholder engagement. Additionally the team is now fully staffed with the Project Management Advisor who will be working across Council to train staff on the Investment Management Framework, Project Lifecycle Management, and deliver some consistent reporting on key projects to Council. The recruitment of this role will strengthen delivery alongside Councils Procurement Advisor and Contracts Coordinator.

### 5.1 *Current Priorities and Challenges*

Current priorities include:

- Review of CCTV across Council sites
- Fleet Strategy
- Security and Related Services Procurement.

Current challenges include:

- Inducting new staff
- Inclement weather

### 5.2 *Operational Activities*

#### *Facilities*

##### **Key Highlights:**

##### CCTV Review Progression

- Significant progress has been made on the comprehensive review of Council's CCTV network. This includes assessing current coverage, identifying gaps, and planning for future enhancements to improve public safety and asset protection.

##### Fleet Review Completion

- The team successfully completed a full review of the Council's fleet. This has provided valuable insights into usage patterns, cost-efficiency, and opportunities for optimisation, including potential reductions in fleet size and emissions. We are now working on a Fleet Strategy which will look at the fleet size and needs of Council staff to be able to deliver services efficiently.

##### Security System Integration

- The Central Library and Rose Street Bus Stop have now been successfully integrated into the main Council security system. This enhances monitoring capabilities and ensures a more cohesive approach to public safety.

##### Operational Savings Identified

- Through a detailed review of operational functions, the team has identified and implemented cost-saving measures across several areas. These savings contribute to better resource allocation and budget management.

#### Remedial Works at Te Iwitahi

- Remedial works at Te Iwitahi are being completed, addressing issues and improving the safety and usability of the site for the community.

#### Strengthening Contractor Relationships

- Continued efforts to build strong, collaborative relationships with local contractors have resulted in improved service delivery, responsiveness, and mutual understanding of expectations.

#### Business-As-Usual (BAU) Activities

- In addition to the above, the team has maintained consistent delivery of BAU responsibilities, including facilities management, fleet coordination, security operations, and contractor engagement.

#### Next Steps / Focus Areas

- Finalise recommendations from the CCTV review and begin implementation planning.
- Monitor and report on the impact of fleet changes.
- Continue identifying operational efficiencies.
- Support upcoming capital works and maintenance projects.

### **Procurement**

Procurement activity continues to remain high, with the Procurement Advisor providing ongoing support for routine purchasing requirements across the organisation. In parallel with day-to-day operations, Council has been participating in early-stage discussions regarding the development of a Northland Regional Procurement Strategy. Still in its early days, this strategy has the potential to deliver better outcomes for the wider community.

An internal audit of Council's Procurement Policy and Manual is currently in progress. This process ensures that Council's procurement framework remains compliant, effective, and aligned with best practice. The findings from this review will inform the revision of the existing policy, which is already in draft form but may undergo preliminary amendments based on the audit's recommendations before being submitted to Elected Members for their input.

In reviewing the policy it is important to consider whether any areas of concern relate to the policy itself, or how it is being used by those undertaking procurement activities i.e. is the policy being used in the most effective way?

Democracy team have advised there may be a delay in the release of the audit findings

#### **Key Activities:**

##### **Internal**

- Providing general advice and support to staff involved in procurement-related projects
- Planning future procurement workshop training for staff
- Providing Drop-in sessions for procurement questions from staff
- Supporting the Business Support Department in reducing cost and adding value

- Commenced Travel Policy review
- Supporting H&S team in developing contract documentation
- Preparing and compiling procurement related information requested by Elected Member

### Strategic

- Preliminary discussions regarding software to manage procurement processes
- Chairing regular meeting of Local Government Strategic Procurement Group
- Preparing to present a webinar to ALGIM on aspects of procurement
- Providing information and support to internal auditors.

### *Major work streams in procurement in June have included:*

| Service/Good Being Procured                    | Detail                                                                                                                               | Procurement Commencement Date | Business Owner   | Date Advertised on GETS | Expected End Date                  |
|------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------|-------------------------------|------------------|-------------------------|------------------------------------|
| Security and Related Services                  | Security services including cash in transit, guard services and alarm monitoring                                                     | July 2025                     | Business Support | 11 September            | October/ November 2025             |
| Cellular Services                              | Mobile services including connections serving voice, wireless connections for critical services (pump sensors, traffic lights, CCTV) | May 2025                      | ICT              | N/A (direct engagement) | November 2025                      |
| Pensioner Housing Grounds Maintenance          | Grounds maintenance of Pensioner housing assets including mowing and gardening                                                       | April 2025                    | Community        | 23 April 2025           | Contract currently being finalised |
| Tracks and Walkways                            | Maintenance of Council's 63 tracks and walkways including associated assets                                                          | April 2025                    | Parks            | 22 April 2025           | Contract currently being finalised |
| Rating Database and Valuation Service Provider | Services related to maintaining the rating database and revaluations                                                                 | October 2025                  | Revenue          | Early 2026              | Sept 2026                          |
| RMA Commissioner Services                      | Renewing the panel of independent Planning Commissioners                                                                             | May 2025                      | RMA Consents     | 23 May 2025             | Contract currently being finalised |

| Service/Good Being Procured     | Detail                                                       | Procurement Commencement Date                      | Business Owner       | Date Advertised on GETS       | Expected End Date             |
|---------------------------------|--------------------------------------------------------------|----------------------------------------------------|----------------------|-------------------------------|-------------------------------|
| Coastal Structures              | Maintenance of coastal structures                            | July 2025                                          | Parks                | 15 July 2025                  | October 2025                  |
| Lyric Theatre                   | Procuring professional services related to the Lyric Theatre | Dependent on Council decision scheduled for 26 Aug | Strategy & Democracy | Dependent on Council decision | Dependent on Council decision |
| Airport Generator               | Backup generator and associated services                     | Late September 2025                                | Airport/Property     | November 2025                 | February 2026                 |
| Venue Booking Management System | ICT solution to manage the booking of various Council venues | July 2025                                          | Venues and Events    | End August 2025               | End Oct 2025                  |

### **Project Management**

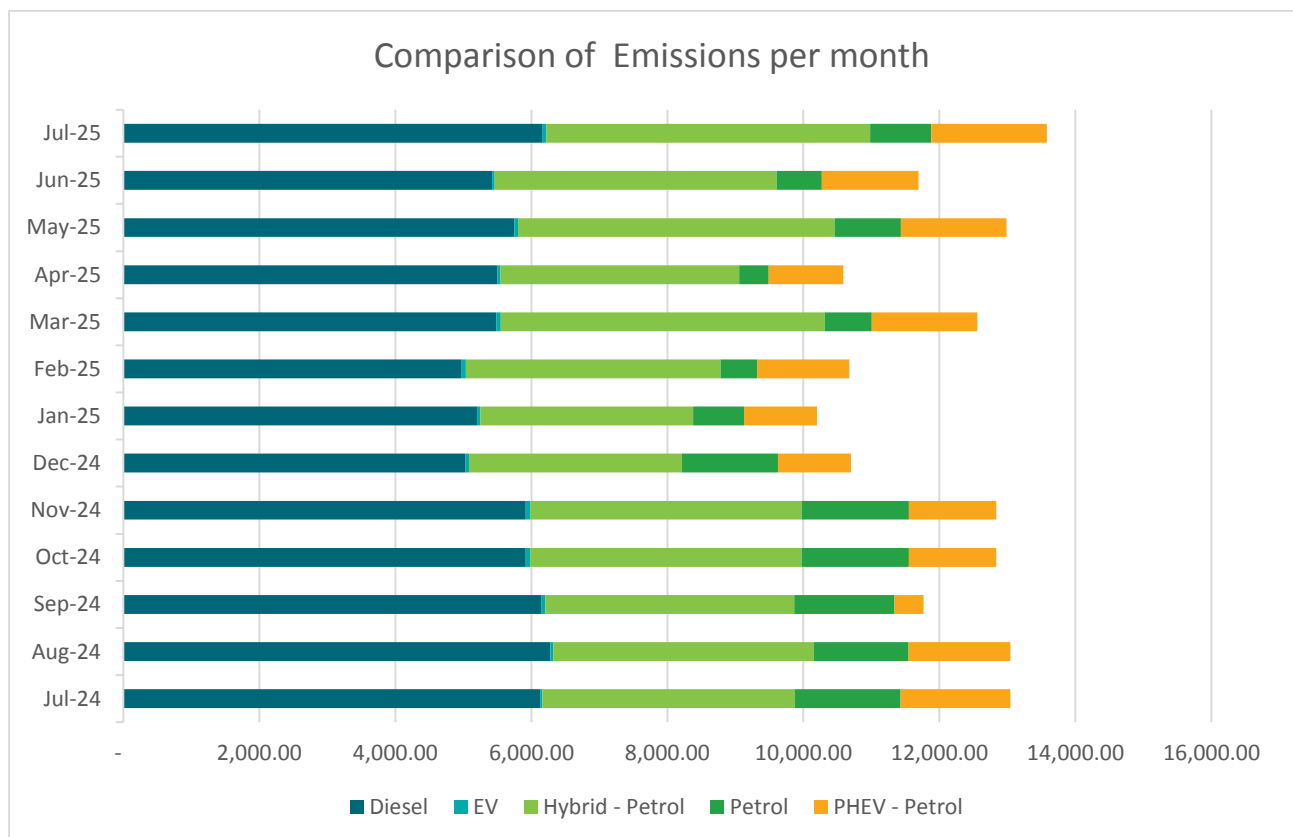
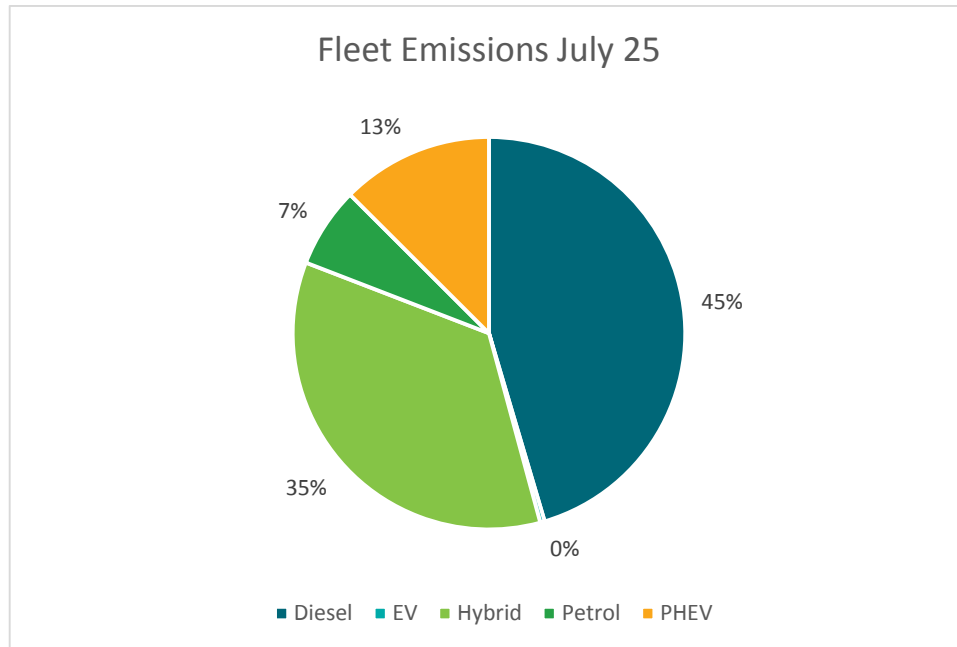
The Project Management Advisor (PMA) began with the Council on 21 July 2025. Her initial focus over the past month has been on:

- reviewing the Investment Management Framework (IMF), associated documentation, and Council policies & frameworks, which impact the IMF
- training for various Council procedures and processes, including Project Lifecycle Management (PLM) (TechOne) for alignment with IMF gateway phases
- meeting key personnel from the various teams and departments who are using or will be required to use IMF and PLM
- meeting and hearing from teams whose responsibilities overlap or who are responsible for different aspect of projects (Procurement, Contracts, Finance, ICT, Risk Management Team)
- meeting EAs to the General Managers to understand current monthly project reporting process to the Council

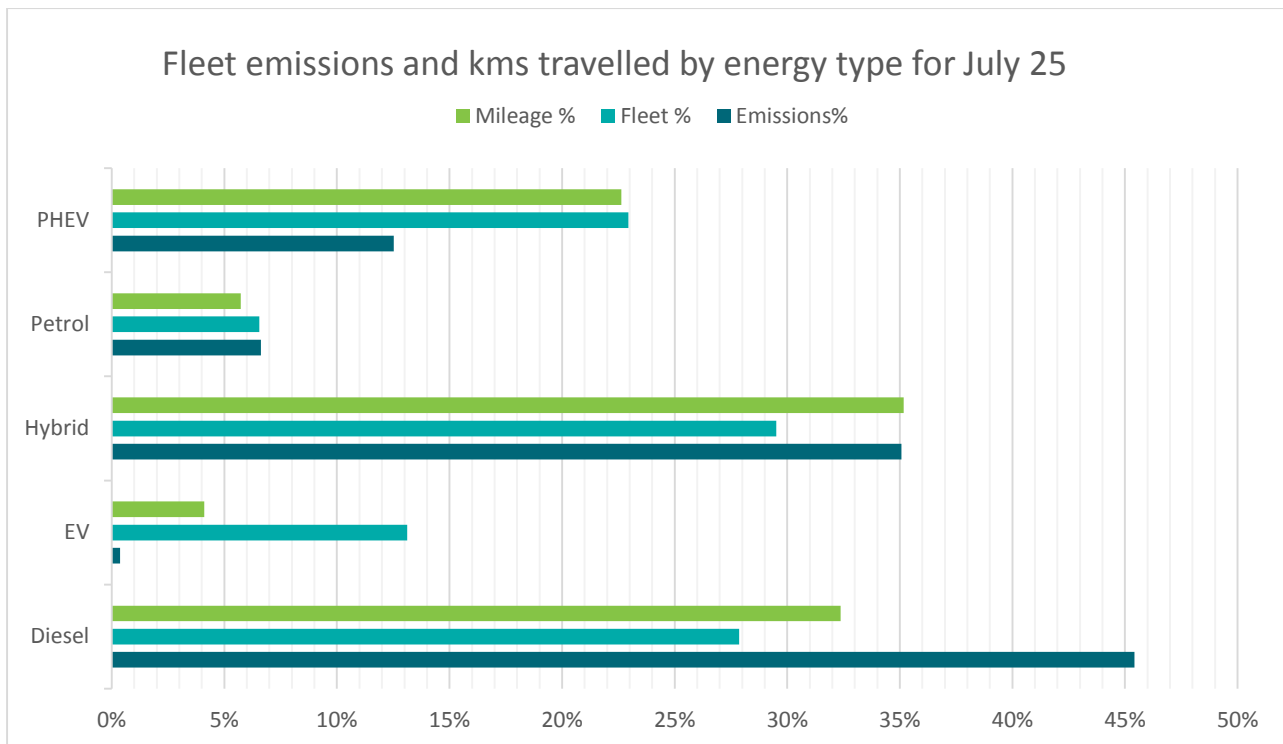
## Fleet Activity

In July the fleet travelled the distance of 88,401 kms.

The total fleet emissions for the specified period amounted to 13,580kg of CO<sub>2</sub> equivalents (CO<sub>2</sub>e). A decline in the number of diesel vehicles is now evident, as reflected in the reduced emission percentages shown in the graph below.







Our hybrid and diesel vehicles cover the highest mileage, as they are primarily assigned to departmental or dedicated roles based on specific operational requirements.

We plan to replace some of our petrol and diesel vehicles with plug-in hybrid electric vehicles (PHEVs) as they become available. This transition will further contribute to reducing our overall emissions.

Our current fleet comprises 61 vehicles in total:

|        |    |
|--------|----|
| Diesel | 17 |
| EV     | 8  |
| Hybrid | 18 |
| Petrol | 4  |
| PHEV   | 14 |

Business Support are currently looking at all of fleet utilisation. The purpose of this is to ensure that the fleet size is at the most efficient level. While there are frequently times where all fleet vehicles are booked, there are also times that multiple vehicles are sitting idle. Understanding how and why staff are using the fleet may present opportunities to reduce the size of the fleet and reduce overall costs without disruption to service delivery.

## 6. Property

### 6.1 Current Priorities and Challenges

Current priorities include:

- Reduction in debtor arrears
- Asbestos removal following surveys of priority sites
- Condition assessment of Commercial buildings in town basin
- Tenanting of vacant commercial premises
- Renewal of leases and licences – Commercial and Community
- Recruitment of vacant roles (Property Advisor and Asset Planning Advisor).
- Transfer of responsibility for management of Airport from District Development to Property team.

Current challenges include:

- Resourcing continues to be an issue while we have staff absence during the period due to illness and leave while still recruiting for two vacant roles.
- Managing the increased noise complaints being submitted now that rescue helicopter operations have largely transferred to the airport from Kensington.

### 6.2 Operational Activities

#### Facilities Maintenance

Highlights for the team were:

- i-SITE Break-ins and vandalism - Challenges have been encountered at the i-SITE café with a series of three break ins. Security screening has been ordered for the doors. Additionally, minor vandalism repairs have been required at the Central City Carpark and the Tikipunga Libraries.



- Asbestos Survey Project – all Council offices and worksites, residential properties and commercial, leased buildings have now been surveyed and where appropriate Asbestos Management Plans have now been developed. Properties that required immediate remediation have been addressed and clearance certificates have been issued.



*Before and after photos showing sub floor asbestos debris remediation.*

- Central Library Re-Carpet – the replacement of the carpet is now underway.



## Facilities Projects

| Name/Location           | Details                                                                                                                       | Asset Owner/<br>Sponsor | Status        | Estimated Completion |
|-------------------------|-------------------------------------------------------------------------------------------------------------------------------|-------------------------|---------------|----------------------|
| Community Buildings     | Condition Assessments – reports received and urgent repairs underway while a strategy for long term maintenance is developed. | Property                | In Progress   | 31/8/2025            |
| Old Municipal Building  | Liaison with Project Manager on rebuild, manage tenant application process, relocate tenants as required                      | Community Development   | In Progress   | 31/12/2025           |
| Central Library         | Replacement of Carpet                                                                                                         | Property                | In Progress   | 31/8/2025            |
| Te Iwitahi              | HVAC units installed which operate on emergency power in meeting rooms used for incident management                           | Civil Defence           | Complete      | 31/7/25              |
| Town Basin 1 Restaurant | Floor repair after underfloor leak - Insurance Claim                                                                          | Property-Commercial     | In Progress   | 8/8/25               |
| 21A Otaika Rd           | Bank slippage and retaining options – under investigation                                                                     | Community Development   | Investigation | 2026                 |
| Town Basin              | Upgrade Lighting in Bach/Boatshed car park                                                                                    | Property                | In Progress   | 31/10/2025           |

## Tenancy Management

For the period to 31 July 2025, core lease workflows progressed alongside continued arrears reduction and reporting improvements; work also continued across airport programmes and the WAM lease consolidation.

- Focus this period: Progressed new leases and surrenders; renewals and rent reviews progressed to manage expiry risk; arrears programme continued to deliver reductions, supported by routine follow-ups and payment plans.
- Reporting & controls: Continued refinement of internal reporting and control tools (monthly roll-forward, pipeline/expiry tracking, and cost-recovery visibility) to improve decision speed and consistency.
- Whangārei District Airport (WDA): Capex delivery continued. Taxiway Alpha progressed but was impacted by recent weather; updated timing to be confirmed with the project team. Ongoing work on the new Rescue Fire Service (RFS) facility. Participated in the internal audit (awaiting findings). Increased involvement in the Noise Management process, including establishing routine reporting and complaint follow-up.
- Governance & agreements: Proceeding with a new consolidated WAM Gallery & Foyer lease to replace the previous gallery-only arrangement; documentation is well advanced, with final approvals/sign-off underway.

- **Market activity:** Steady commercial enquiry and agent engagement to address vacancies and support tenancing priorities.

Next period: Finalise FY24/25 cost-recovery reconciliations and tenant comms, complete scheduled rent reviews/renewals, support WDA audit outcomes and noise-reporting cadence, and advance RFS/Taxiway Alpha close-outs.

### ***Commercial Leases and Licences***

The Property team is currently managing 29 active lease-related matters across the commercial portfolio, covering the full lease lifecycle including new agreements, surrenders, renewals, rent reviews, and variations. Additionally, 12 airport leases are in progress, each at a different stage of development. This includes:

- **New Leases:** 19 new lease matters in progress
- **Lease Surrenders:** 2 surrender requests under review
- **Lease Renewals:** 9 renewals underway, each with an associated rent review
- **Renewals with Variations:** 1 renewal involving lease term variations and 1 standard renewal
- **Rent Reviews:** 5 standalone rent reviews in progress, plus 1 review with lease term variations
- **Lease Variations:** 1 variation currently being processed
- **Debt Recovery:** 1 lease at the initial stage of debt recovery, with preliminary action underway to address arrears
- **Lease Assignment:** 1 lease assignment and covenant in progress

### ***Parks and Reserves Leases and Licences***

#### **New Lease Developments**

- Preparation of head lease and other agreements for Community tenants who will be returning to the ground floor of the OMB once the remediation has been completed.

#### **Community Lease Activity Summary**

The Property team is currently managing a range of community lease matters, including:

- **New Licences:** 2 licences are currently in progress
- **New Leases:** 6 new lease agreements are underway
- **Leases on Hold:** 7 leases are on hold due to dependencies such as start dates, building upgrades, assessments, or pending club information—all are being actively monitored
- **Leases Ready to Commence:** 3 new leases are prepared to begin
- **Additional Lease Actions:** Includes 1 lease variation, 1 renewal, and 3 new leases ready for commencement

### ***Property Acquisitions or disposals***

- 13 Rust Ave, a commercial building was acquired at auction and settlement occurred on 31 July 2025. The building is currently occupied by a tenant of month-by-month basis.

## 7. Communications

### 7.1 Current priorities and challenges

Current priorities for the month include:

- Elections campaign (Stand phase)
- Local Water Done Well
- Parking consultation
- Dog registration

### 7.2 Operational activities

#### Media coverage

- Proposal to hike Whangārei parking fees sparks backlash from locals
- Northland's biggest water services changes kick off in Northland
- Water leak closes Te Kamo Intermediate School in Whangārei
- Whangārei house damaged by airborne car; owner urges council to install safety barriers
- Whangārei Council explains waived fines for disability park misuse
- Whangārei Libraries farewells manager Paula Ulrich after 31 years
- Raumanga community calls for NZTA action at notorious Whangārei pedestrian crossing
- Citylink to resume service in Whangārei after rocks thrown at bus
- Whangārei man hit on crossing in Raumanga urges safety measures on State Highway 1
- Black Ferns beat Black Ferns XV in Whangārei trial match
- Māori All Blacks beaten by Scotland in Whangārei
- Whangārei stadium and taxis pair up to get fans home after rugby
- Whangārei carparking proposal
- Person seriously injured after fall near SH14 into Horahora stream
- Northland's coastline no longer under tsunami activity advisory
- Kaipara councillor warns Northlanders face \$4000-plus water rates
- Northland's coastal areas warned of unusual currents after Russian earthquake
- Northland weather (multiple reports); Brynderwyns down to one lane, thunderstorm watch issued
- PM Christopher Luxon discusses Northland's economic potential with iwi and Māori trusts
- Shane Jones urges unity for Northland's regional deal success
- Northland business heavyweights pushing for \$60b-a-year economy
- Brynderwyns slip adds uncertainty for Northland businesses and motorists
- The case for abolishing regional councils in NZ: Mathew Hooton
- Urban trees spark debate over benefits and property rights

#### Communications and engagement projects

A summary of campaigns of note include:

| Campaign                                | Comment                                                                        |
|-----------------------------------------|--------------------------------------------------------------------------------|
| Local Water Done Well                   | Public relations for Northland Water Services Working Group and internal comms |
| Silver Festival booklet                 | Design of booklet promoting this upcoming event                                |
| Design of a road safety children's book | Illustrations and design for a road safety book "Road safety with Pekapeka".   |

| Campaign                                          | Comment                                                                                                                                                                                               |
|---------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Claphams Clock Museum signage and souvenir book   | Update of all signage at Claphams Clock Museum and design of a new souvenir book.                                                                                                                     |
| Ruakaka wastewater treatment plant project        | Promotion and facilitation of community meeting re interim disposal solutions, stakeholder engagement, project knowledge builder finalised.                                                           |
| Regional climate resilience                       | Comms support for Climate Adaptation Te Taitokerau joint regional working group, TTCAN website is now live. WDC is well represented on the website. <a href="https://ttcan.nz/">https://ttcan.nz/</a> |
| Elections 2025                                    | Comms support and planning for Elections 2025, promoting Stand phase and educating on STV and Māori Wards Poll.                                                                                       |
| Mayoral communications                            | Preparing EMs for pre-election period                                                                                                                                                                 |
| Central City Parking Management Plan Consultation | Consultation and awareness                                                                                                                                                                            |
| Te Kamo T2 transit lane                           | Engagement with businesses and moderation of comments via social media.                                                                                                                               |
| Gomez Dam Disposal                                | Comms & engagement planning underway                                                                                                                                                                  |
| Parua Bay Wastewater Scheme                       | Updates on spills/overflows, future plans & proper gully trap use via community newspapers                                                                                                            |
| Morningside Flood Relief                          | Community progress updates, engagement support                                                                                                                                                        |
| Parua Bay skate park                              | Communications support                                                                                                                                                                                |
| Whangarei Urban Flood Strategy                    | Communication and engagement plan, content development                                                                                                                                                |
| Dip Rd new reservoir project                      | Community updates                                                                                                                                                                                     |
| Fluoridation                                      | Website updates re fluoride-free taps                                                                                                                                                                 |
| Kepa Rd wastewater improvements                   | Wrap-up story for owned channels and Bream Bay News                                                                                                                                                   |
| Whangarei Heads watermain renewal                 | Cross-channel completion stories                                                                                                                                                                      |
| Miraka Rd water pipe renewal                      | Communication support                                                                                                                                                                                 |
| Rose St Bus Hub                                   | Communications support                                                                                                                                                                                |
| Mair St to Rurumoki stormwater renewal            | Engagement support                                                                                                                                                                                    |



## ***District pride campaign***

We are increasing the focus on celebrating our place, showcasing more positive stories about our District, celebrating some of our local attractions and highlights, and encouraging the community to get behind well-known waste minimisation campaigns like Keep New Zealand Beautiful.

### **Activity over this period included:**

- Reopening of Porowini to Rawhiti walkway
- Local Goodie next round of winners
- Rose Street bus hub opening
- Supporting the Getting Out There expo
- Big turn out of candidates for Local Government elections
- Raumanga Shared Path re-opens
- Credit rating reaffirmed
- Rates rebates eligibility changes
- Whangarei Heads watermain renewal completed
- Rikoriko Park playground opening
- Urban tree cover nationwide study
- Celebrating Paula's tenure at Council
- Maritime Festival is coming
- Sandbox Fandom Festival images
- Welcoming Communities powhiri
- Water storage capacity extension for Te Kamo, Tikipunga and Hikurangi well underway
- Māori All Blacks match and signing
- Parihaka Scenic Reserve bush walks (Love it Here)
- Dog walk inspiration (Love it Here)
- Whangarei waterfalls (Love it Here)
- Busby Head walk (Love it Here)
- Otuihau Falls (Love it Here)

## ***Social media***

Social media was a key communication channel for some important campaigns this month: dog registrations, local government elections, and the biggest year of rates rebates yet. In addition to this, July included flooding comms, instructional material about the new T2 lane, the launch of the parking management survey, the announcement of the Silver Festival, and water capacity upgrades in Te Kamo. A big month by any measure.

**Top three highest reaching Facebook posts in July 2025** - refer to Appendix 1 for screenshots.

| Topic                                 | Reach and interaction notes                                      |
|---------------------------------------|------------------------------------------------------------------|
| Flooding from heavy rain in late July | 115k reach thanks to 108 shares                                  |
| How to use the new T2 lane (video)    | 62k reach, "reels" format performed well here, 108k video views. |
| Silver Festival seeking events        | 35k reach, 61k views, 333 comments, used "text only" format.     |



## Website and digital channels

### Digital transformations\*

Digital transformations have focused on moving the website requests and report it sections to the new TechOne DXP platform. These sections are now live on the website.

\* Updated every three months – next update August 2025.

### Top 5 pages visited (main website only, ordered by views, Google Analytics report)

\*“Search”, “home” and other core functional pages are not listed.

| June 2025                                                                                                                                           | July 2025                                                                                                                                            |
|-----------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------|
| Puanga Matariki Festival event listings                                                                                                             | Rates database and search                                                                                                                            |
| Pōhutukawa Coast distributor information                                                                                                            | Dog registration                                                                                                                                     |
| Rates database and search                                                                                                                           | City-centre parking management plan survey                                                                                                           |
| What's On (events)                                                                                                                                  | Rates rebates and relief                                                                                                                             |
| Rubbish and recycling collection                                                                                                                    | Payments gateway                                                                                                                                     |
| Notable: Contact us, payment gateway, A-Z recycling and disposal guide, online maps, ePlan, cemetery, Council minutes and agendas, dog registration | Notable: A-Z recycling and disposal guide, What's On, ePlan, 2025 elections, 2025 candidates list, 'A Celtic Christmas Carol' event (November 2025). |

## Appendix 1 - Social media (by top performing post)

### Whangarei District Council's post



Recently

⚠️ The heavy rain is causing flooding and other issues on our roading network: please drive safe if you're out, turn your lights on, and watch out for people anywhere you go. Further rain is forecast for the afternoon and evening.

Known closures (these have re-opened)

- Draffin Road (Poroti) - impassable flooding
- Kara Road Road - flooding in the lowest areas
- Mangapai Road is closed - flooding (pictured)
- McKinley Road - flooding at Kokopu Road end

High caution:

Some of these are community-reported issues:

- Bay View Road - width restriction
- Jobe Road
- Jordan Valley Road
- Kerehunga Road - width restriction
- Gomez Road - single lane due to fallen tree
- Maungakaramaea Road
- Paparoa - Oakleigh Road has surface flooding and may come to a closure
- Punaruku road
- Pipiwai Road
- Whareroa Road

We are also seeing reports of other flooding - please take these seriously, plan your trip carefully and exercise caution.



[See insights and ads](#)

[Boost post](#)

Northland Road Safety, Civil Defence Northland and 407 others

70 comments · 108 shares

### How to use the T2 lane on Kamo Road and Bank Street

Like Comment Share

👍🗣️ Northland Road Safety and 287 others · 261 comments · 108K views

**Whangarei District Council** · Published by Craig Neilson · 1 July · 🌐

Overview Comments

The new T2 lane on Kamo Road and Bank Street is the first transit lane in Northland! Here's a video for how to use it.

Why put a T2 lane here? The easiest way to reduce traffic is to encourage people to travel together if they can. Travel-times on this route during the morning peak have been getting longer and longer, so this is our chance to do something about it.

If you're a driver carrying passengers, you can use the T2 lane! From 7:00am until 9:00am it will be a clearway (no parking) to allow traffic to move.

[See less](#)

Most relevant ▾

**Whangarei District Council** · Do you travel this way in the mornings? Here's

Comment as Whangarei District Council

## What's the most fun retired or older people can have in Whangārei?

61

298 4



Like



Comment



Share

Most relevant ▾



Comment as Whangarei District Co...



Author

**Whangarei District Council** ✓

We'll scoop up your ideas and advertise them in the Silver Festival, back for 2025! Event registrations close on Sunday 27 July 2025 and can be made here:



[www.wdc.govt.nz/SilverFestival](http://www.wdc.govt.nz/SilverFestival)



**RESOLUTION TO EXCLUDE THE PUBLIC****Move/Second**

That the public be excluded from the following parts of proceedings of this meeting.

The general subject of each matter to be considered while the public is excluded, the reason for passing this resolution in relation to each matter, and the specific grounds under Section 48(1) of the Local Government Official Information and Meetings Act 1987 for the passing of this resolution are as follows:

| <b>General subject of each matter to be considered</b> | <b>Reason for passing this resolution in relation to each matter</b>                                                   | <b>Ground(s) under Section 48(1) for passing this resolution</b> |
|--------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------|
| 1.1 Commercial Property Update<br>July 2025            | Good reason to withhold information exists under Section 7 Local Government Official Information and Meetings Act 1987 | Section 48(1)(a)                                                 |

This resolution is made in reliance on Section 48(1)(a) of the Local Government Official Information and Meetings Act 1987 and the particular interest or interests protected by Section 6 or Section 7 of that Act which would be prejudiced by the holding of the whole or the relevant part of the proceedings of the meeting in public, are as follows:

| <b>Item</b> | <b>Grounds</b>                                                                                                                   | <b>Section</b> |
|-------------|----------------------------------------------------------------------------------------------------------------------------------|----------------|
| 1.1         | To enable Council to carry on without prejudice or disadvantage commercial activities.                                           | S7(2)(h)       |
|             | To enable Council to carry on without prejudice or disadvantage negotiations (including commercial and industrial negotiations). | S7(2)(i)       |

**Resolution to allow members of the public to remain**

If the committee wishes members of the public to remain during discussion of confidential items the following additional recommendation will need to be passed:

**Move/Second**

“That \_\_\_\_\_ be permitted to remain at this meeting, after the public has been excluded, because of his/her/their knowledge of Item \_\_\_\_\_.

This knowledge, which will be of assistance in relation to the matter to be discussed, is relevant to that matter because \_\_\_\_\_.

*Note: Every resolution to exclude the public shall be put at a time when the meeting is open to the public.*